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Zoetis, Inc. (ZTS)

Investor Day

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MANAGEMENT DISCUSSION SECTION

John O'Connor

Investor Relations Officer

Good afternoon. I am John O'Connor, Head of Investor Relations at Zoetis. I would like to welcome those of you here at the New York Stock Exchange, as well as those of you participating via webcast, to Zoetis' Investor Day 2014, the first we've hosted since becoming an independent company. Thank you all for your interest in Zoetis and for joining us.

Before we get started, I would like to address a few housekeeping items with you. First, the Safe Harbor statement. During the presentations, we will be making forward-looking statements. These statements reflect management's view as of today, and we undertake no obligation to update these statements. It is possible that actual results may differ materially from those projected. Some of the risks and uncertainties that may affect future results are described in our SEC filings. We also have a number of non-GAAP measures included in our presentations. Those have been reconciled to the appropriate GAAP measures. Those are also in our filings with the SEC. You can find them on our website.

We're webcasting this event live, and we will have an audio replay available following the event. For those of you who are listening on the webcast, the slides are available for download and will be advanced in sync with each speaker's remarks.

We have a great program lined up for today. Our senior leadership team is excited to be provide you with a n update on Zoetis' significant progress over the past two years and, more importantly, describe for you the path we're on to continue to deliver value to shareholders.

First, Juan Ramón Alaix, our Chief Executive Officer, will provide an overview of the animal health market and its dynamics, outline Zoetis' strategy, and describe how we're positioned to grow and create shareholder value as the industry leader. Then you will receive overviews of the dynamics and growth drivers of each of our key regions from our commercial leaders, including Clint Lewis from the U.S.; Joyce Lee, Canada/Latin America; Dr. Stefan Weiskopf, Asia Pacific; and Dr. Alejandro Bernal, Europe, Africa and Middle East.

After a break, Dr. Catherine Knupp, President, Research and Development, will discuss our R&D approach and how we'll continue to deliver product innovations and develop brands across geographies, species and therapeutic areas in the future.

Kristin Peck, Group President, will then review the company's manufacturing and supply chain, our record of manufacturing excellence and how we're continuing to optimize our network for growth and greater efficiency.

And then, before Juan Ramón provides concluding remarks and opens up the meeting to Q&A, Paul Herendeen, our Chief Financial Officer, will review the financial dynamics of our business, our disciplined approach to capital allocation, as well as provide guidance for 2015 and our outlook through 2017. We have reserved ample time for questions at the end of the presentations today. We ask that you please hold your questions until the Q&A period.

So with that, I am very pleased to introduce Juan Ramón Alaix, our CEO.

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Juan Ramón Alaix

Chief Executive Officer & Director

Thank you, John. So welcome, and thank you for joining our first investor day of Zoetis. From day one, we had a clear plan to create value for our shareholders. We have been building our business model, the culture of the company, also the financial strength to enable us: first, to generate growth in line or faster than the market; second, to increase our adjusted net income faster than revenues and free cash flow faster than adjusted net income; also, to invest in added value opportunities and return capital to our shareholders.

The objective of today's meeting is that you walk away with three key impressions: the first one is that the animal health industry is a very attractive industry with trends that will support visible, steady and predictable growth in the future.

Second, that Zoetis, as a leading company in the animal health industry, has the characteristics, also the business model and the strength to capitalize all the opportunities that the animal health industry will bring in the future. And third, that the management team of Zoetis has a clear focus on creating value, short and long-term for our shareholders.

And how are we creating that value today to our shareholders? Well, we are building on our competitive advantage, our leading field force in the industry, high productivity of R&D and quality of manufacturing and [ph] reliable supply (05:38); and this is helping us to deliver our financial commitments. In 2013, we grew almost double than the market. The industry grew by 3.6%, and Zoetis' growth was 7% on operational basis.

In 2013, our R&D team delivered 180 products, which is a key ingredient to support our future revenue growth. Also in 2013, our adjusted net income grew significantly faster than our revenues; and all this was achieved at the time that we are managing the complexity of the separation from Pfizer.

In 2014, we continue growing our adjusted net income faster than revenues, and our guidance is showing that our adjusted net income will be growing between 8% to 11%. And we also ensured that we are continually investing in added value opportunities, like the one that we have communicated recently with the acquisition of Abbott.

We are also focused on creating the right culture that will drive results. We have a team which is having a high sense of ownership adding to our customer focus, speed and also discipline on expenses; and all this is creating a significant impact in our operations and creating the value for our shareholders.

We also put in place the right allocation of capital. At the end of 2013, we increased our dividend by 11%. We also had the right strategy in terms of business development. And as we said, Abbott is a good example of executing this strategy. And, today, we announced that we have a program for buying 500 million shares (sic) [\$500 million of shares] (07:56) of Zoetis. So all these, in our opinion, is creating significant value to all shareholders.

And what can you expect from us in the future? We will continue growing in line or faster than the market. In terms of revenues, adjusted net income will be growing faster than revenues; and free cash flow, faster than adjusted net income. We'll continue investing in opportunities to enhance our competitive advantage. And we will return the capital to the shareholders while [indiscernible] (08:34) opportunities that will generate additional growth in revenues and also in margins.

Now let me move to a description of the market in where we compete. And the animal health industry is at the core of \$100 billion market, and this core has two different segments: livestock with cattle, swine, poultry, sheep, fish; and companion animals, dogs, cats, horses; and this division is 60% livestock, 40% companion animal.

And we compete basically on this \$23 billion market, although we already expanded our activity to areas which are very complementary to the core, diagnostics, devices, genetics, services, in a way to enhance our core business, being more relevant to our customers, and accelerate revenue growth and also margin growth.

I had the opportunity to share with many investors, analysts in several meetings that despite many of the animal health companies are part of human health companies; our industry is very different than the human health.

Let me go through the main element of this differentiation. First, the impact of third-party payers is minimal in our industry. So we need an infrastructure to reach our customers, thousands of our customers in 120 markets in where we need to reach these customers. These customers are also deciding the product they want to use based on [ph] outcomes (10:35), and also paying directly to the animal health companies. So very different dynamics compared to human health where with a small group of people you can reach third-party payers and have an influence.

So the model in this small group of people reaching few payers is something that is not applicable to animal health. Because of these and other elements, the impact of generic competition is very different than in human health. So we need this infrastructure to reach customers, and this is creating some barriers for pure generic players to work or to play in this industry.

The second is that a blockbuster in the animal health industry, it's \$100 million or more; and you need to generate \$100 million in 120 markets. You can understand that economies of scale with this size of product is much more challenging than in human health, which are billions of dollars for a single product.

And the third element that I also want to share with you is that the brand equity is very important for our customers. And, also, the gains they can get for cheaper solutions in many cases is not worth the risk they can take in their production, either they don't get the quality product they need, reliable supply and technical support that animal health companies like Zoetis can provide to them.

This model of generics being so different than in human health is also defining the model of R&D. Our R&D model is not only focused on bringing new products that will compensate the loss of exclusivity of the current portfolio, but we can combine innovation with investing in our current portfolio because we see that the products in animal health, they have a long life even after losing exclusivity. So we combine innovation with defending our current portfolio, and this is creating a model which is more productive and more predictable and less expensive.

And, finally, our industry is dealing with multiple species. We have eight main species for which we need to generate products, for which also we need to reach customers. And we have also a significant differentiation among regions. And that's why – so this industry is managing a lot of complexity, which is representing a barrier for entry – entrance of new competitors, but the same time is also providing a profile, a risk profile, which is much more positive than depending on one single species or one specific model applicable to all geographies.

As I said, the animal health industry is supported by trends which are providing sustainable, steady and visible growth. The population is growing. The middle class is increasing in emerging markets. And there's a move from rural location to urban locations. All this is creating a significant opportunity for both livestock and companion animal.

And let me now share with you how dependent is the world on animals. And is dependent in both livestock, because daily billion of people depend on animal proteins as part of their diet, but also because millions of people are also getting a lot of companion from pets, dogs and horses.

In livestock, 7 billion today, expecting to grow to 9 billion in the future; and most of the people are already depending heavily on animal proteins for feeding purposes. 40% of income in agriculture are coming from livestock; and 33% of arable land is used today to produce food to feed the animals in livestock. And this dependency is expected to grow in the future. And this slide show in different scenarios of what the consumption of animal proteins can grow in the next 50 years. So the world is consuming just following the trend in terms of population, the additional needs of animal proteins will increase by 30%.

If the consumption of animal proteins move to the current levels of Latin America, then the needs of animal proteins will increase by more than double; and more than three times if the consumption levels move to the current levels of developed markets today. You see that this represents a significant opportunity for animal health that, that we'll need also to address the need of all these additional food that will be needed in the future.

But this will also face significant challenge. There will be less arable land, shortage of water, new diseases, competition with biofuel, climate changes; and we saw a couple of years ago the drought in the U.S. affecting significantly the production of animal proteins in the U.S. But all this challenge, also we have a positive impact in the animal health industry. We should expect that there will be a long-term pressure on prices. And this long-term pressure on prices will also have a positive impact in the profitability of livestock producers.

At the same time, because the world will need to produce more with less resources, the reward for companies bringing innovation that will meet this objective also will be an important driver of growth opportunities for animal health industry.

And what the animal health industry can do to support this objective of producing more with less? Bringing new vaccines; bringing new medicines to prevent animals from being sick and also to treat animals when they are sick; new technologies, that will be also added to the current one; working together with producers and veterinarians for better health care protocols. And, definitely, adding some complementary tools to support the productivity like devices or diagnostics or genetics which are already an important element to increase the productivity through the selection of animals that will deliver higher level of productivity in the future.

And what are examples of the health of animal health in meeting these objectives? So a couple of examples shown in this slide. One is related to dairy cow in 1961, producing 3,000 liters of milk per year; and a cow in the U.S. 40 years later producing 10,000 liters of milk per year. You see how has been the improvement in terms of yield, in terms of productivity. And also on the bottom part of the slide, you see what still is the productivity in emerging markets. So significant opportunity to bring up this production through technology that already exists in developed markets.

On the right-hand side of the slide, examples of poultry, with the same quantity of food now produces – in poultry, they can produce 32% more meat and they can produce, hens deliver 30% more eggs per animal. So you see that what has been in the future can be also be extrapolated that what animal health industry can do in the future.

And now moving to a little bit shorter timeframe and what we expect in the next 10 years in terms of animal increase, increase on animal protein and how this will translate into opportunities for animal health. 1% to 2% increase in animals; 2% to 3% additional meat, milk, eggs; and this will translate an opportunity of 6% growth in animal health.

And what will be the drivers of this 6% growth? Volume, more animals, definitely will increase the opportunities of revenue for animal health. But also very important, we expect that there will be also high intensity of our production, especially in the emerging markets where still they are not the same level of our consolidation. And

not only the consolidation, but the sophistication of the production is still far from what is being used today in developed markets. We expect also in the next 10 years to bring in new technology, and price will be also an important driver of our growth.

Again, so we're not dependent on third-party payers. So we are following the dynamics of the market and we can justify outcome, a positive result of using our products, then we can also justify higher prices.

The same elements which are positive in livestock, population increase of middle class, urbanization are also having a positive impact in companion animal. Already, 300 million of dogs and cats in the world; 62% of households in the U.S. having a pet; and 90% of these people say that they get a lot of satisfaction having an animal at home.

And very important, emerging markets are showing a significant growth opportunity, 15% growth shown in the last years in Brazil, China, Russia. So you see that the opportunities will be quite significant in companion animal.

And the drivers of growth in companion animal that will be applicable to both emerging and developed markets; will be in emerging markets more adoption of pets, higher medicalization rates, still in many parts of the world the medicalization rates are very low. In Brazil, 17% is the rate of medicalization of dogs. So you see that medicalization is a significant opportunity to emerging markets; while in developed markets, specialty care and prices also will drive growth in this segment.

As a summary, we have an industry which is very attractive, with trends that will support the growth; highly diversified in terms of species, in terms of region; and having unique characteristics that also will support our industry as an attractive investment for investors.

And in this attractive industry, how Zoetis can deliver value to all our shareholders. First, we have all the characteristics that's needed to compete successfully in this industry. Our products are commercialized in 120 markets; 70 of these markets with our direct field force. We have a portfolio of products of more than 300 family of products. Our distribution of revenues: 35% companion animal: 65% livestock. And we are world leader not only in revenues, but also in discovery, the quality of our manufacturing, many elements which are also defining leadership in the animal health industry.

And we believe we have the most diversified business in the animal health industry. We are the most diversified in terms of species, in terms of therapeutic areas, in terms of regions. And our largest product only represent 7% of the total portfolio for Zoetis. So we have a portfolio which is not dependent on a single product to support our revenues and future growth, but we have high level of diversification. This is adding complexity, but at the same time is minimizing the risk of geographies, species or therapeutic areas.

We translate these characteristics with our business model. Our business model is based on three interconnected capabilities; and the leadership team of Zoetis will go to the details of our commercial model, our R&D and also our manufacturing model. In commercial, we have the largest field force in the industry, which is also having a high level of rating or ranking in terms of satisfaction from our customers.

Innovation, we have been showing a high level of productivity. In the last five years, Zoetis brought to the market – or got approval for 600 products. And we have been showing that we can develop markets. We're the first company bringing a pain product to the market, the RIMADYL. In fact, Zoetis created the pain market in companion animals. We brought, in the U.S., the first oncology product developed specifically for dogs, PALLADIA. And most recently, we had the opportunity to introduce APOQUEL which is a product which is solving unmet need in treating allergic dermatitis in dogs.

And also in manufacturing, we have a network of 27 plants, with eight different technologies and more than 200 collaborations with third-party manufacturers that complement our internal work. All these elements will be explained in detail by my leadership team.

Together, with the capabilities, characteristics, we also have clear growth strategies that leverage our capabilities, the three – that interconnected capabilities that I mentioned. But at the same time, we have also studies that will expand our reach in emerging markets in complementary spaces; and also studies that will help us to add through business development new opportunities for growth. And we are combining all these elements with clear culture to drive results and to create value to our shareholders.

Let me spend a minute on what is our approach in terms of business development. We consider business development from a position of strength. We have all what we need to be successful in the animal health industry, but at the same time we have a lot of experience integrating companies. We had the opportunity to integrate many companies in our history. We have also the experience of dealing in the licensing and other collaborations with external partners.

So we have already what is needed to capture opportunities in business development. The areas of focus will be to ensure that we bring to the company, to the R&D model that we have, new substrates, new chemical entities, new technology that we support our investment in R&D. Also, some complementary spaces that will enhance our core business. And will strengthen our portfolio with any opportunity that will meet the criteria that you see on the right-hand side of this slide.

So we can assure that it's a strategic fit also that we can generate synergies in terms of revenues and also cost that we can support and increase on the financial value. And we'll also consider what will be the challenge that we'll be facing in terms of anti-trust consolidations. And all these elements were met with acquisition of Abbott. Definitely, it's complementing our animal health portfolio for companion animal and synergies in revenues in cost. All the elements are being really met in the acquisition of Abbott Animal Health.

The result of all of that is that Zoetis is leading the animal health industry. We are 40% larger than the second in the industry, and 11 times bigger than the number 10 on this slide. And despite of this very strong position, Zoetis is still growing faster than the industry with a market share of close to 20%. So you see that all the capabilities and characteristics is resulting in a very strong performance of Zoetis.

And not only on total revenues, but you see that we have very strong position in terms of geographies, in terms of product categories, and also in terms of species. On the species in companion animal, you saw that we have 35% of our total revenues compared to 40% of the animal health industry. We are underrepresented in companion animal mainly because our portfolio in parasiticide is not yet at the same level of the rest of the portfolio, but we have what we believe is the strongest portfolio in companion animal.

And companion animal is an area that is really focus for us, and the acquisition of Abbott is showing that we are committed really to have the participation on companion animal, which is in line with the position of animal health as Zoetis animals health in this industry.

We're focused definitely on generating revenue growth, but equally focused on improving our margins. From 2010, 2013, we grew faster than the market, excluding all the impact of acquisitions. And in terms of adjusted EBIT, we improved by 500 basis point. So impressive growth from 19% to 24%; and definitely we are committed to continue delivering improvement in our margins.

To conclude with my comments, what is the longer term value proposition we have for our shareholders.

Our objective is to continue growing in line or faster than the market; ensuring that we improve our gross margin; ensuring discipline on expenses; and then define opportunities to do more with less; that this will generate faster adjusted net incomes than the growth that we expect in revenues and faster free cash flow than the growth that we expect in adjusted net incomes.

We will focus on and then define opportunities to improve our working capital. We'll continue investing in added value opportunities. And we'll return the capital to our shareholders while we will be consider opportunities in business development that will accelerate our growth in revenues and margins.

And with that, let me introduce Clint Lewis, that will cover our model in commercial . So thank you.

Clinton A. Lewis

Executive Vice President & President-US Operations

Good afternoon. It's my pleasure to provide an overview of our global commercial model and I'll also go a little bit deeper to give you a sense of how we are operationalizing that commercial model in the U.S.

Juan Ramón talked about the three interconnected capabilities: best-in-class commercial model, best-in-class innovation and R&D, and best-in-class manufacturing.

With respect to the commercial footprint, you can see the global scale and reach that we have. We organized the commercial business in four distinct regions. Outside of the U.S., the international regions have a mix of both developed and also emerging and developed markets; and you could see the percentage of revenue contributed from each of those regions. In addition, it shows the breakdown of the field force, the customer -facing parts of our team that are interfacing in each of those particular markets.

Now besides the global scale and reach and size, what really makes the Zoetis team different and distinct is the quality and the impact of that team. We talk about field force divided between best-in-class sales and also best-in-class technical services. Our sales force, if you think about our footprint disproportionately, let's say, in livestock, all of them grew up in agriculture, grew up in farms, have a deep understanding of that environment, the opportunities, the challenge and also the products.

On the companion animal side, many of them grew up in animal science, worked in veterinary practices. Many of them veterinary technicians. So, again, a deep understanding and appreciation of the environment, the needs, the customers and the products.

Our technical service, these are board certified, licensed, veterinarians, nutritionists. Many of them who are customers themselves or came out of academia, so a tremendous recognition by the customers about the quality of that team that's working shoulder to shoulder with them each and every day.

If we think about our customer types across the regions, the two most important are the veterinarians. But regardless of the region are the key decision makers and/or influencers in the quality of the health status of the animal, whether in diagnosis or putting together the treatment protocol; the producers across livestock that are owning the operation, owning the animals; and of balancing the needs and the welfare with also the productivity and the profitability of their operation.

Also, as Juan Ramón talked about, as we think about the fragmentation of our customer base across different parts of the globe, we also operate within retail and OTC shops. And with respect to distributors in the markets where we largely have a physical presence, the 70 out of 120 markets, oftentimes the distribution is helping to facilitate the movement of products that are generated by the demand for our field force. So we mainly leverage them for logistic support. And those more smaller markets, where we don't have a physical presence, where we engage in some of the commercial activities for us.

We also look at our customers in another way in terms of a classic segmentation. At the apex of that pyramid, the most important customers, whether they be veterinarians or producers, defined either by the size of their operation, the number of animals that they manage or are responsible for, the size of the revenue that they generate with us today, or the potential or the opportunity that they have moving forward.

Also, the middle tier customers, also very important, far more fragmented, far more numerous; again, whether they be veterinarian practices or livestock producers. And then as you get further out, more smaller and geographically diverse producers, veterinarians and also dealer or OTC and retail shops.

With our field force, we're most covering the top two segments, the strategic accounts, as well as the middle tier customers with our direct field force, with our tech services, and also with digital and telesales; and we also again leverage distribution largely for logistics support. It is very important that you understand that demand is generated by the Zoetis field force. And where it does not make good economic sense to be sending a Zoetis representative, again, we leverage distributors to work with the smaller vets, producers or retail accounts.

Juan Ramón touched on the distinct differences between human health and animal health, and I'd like to add a little bit more color to that. Having spent many years in human health in many different commercial roles and many years in animal health, I feel uniquely qualified to speak to some of those distinct differences as it relates to our commercial model.

In human health, access to the true decision maker is ever increasingly becoming a challenge. And if you are so fortunate to be able to get to that decision maker, the amount of time that you have is extremely limited. Juan Ramón touched on the impact of third-party payers, whether they be large insurers or the government. And the discussions with the sales force tend to be very narrow and exclusively product-focused and ever increasingly more around price.

Conversely with animal health, every day with the range of customers that we have, large and small, we have direct access to decision makers. That veterinarian, that producer, he or she is making decisions every day what they believe is in the best health interest of the animal, the herd, or the flock; and/or making decisions based on the productivity or the profitability within that operation.

In our business, when we have to leave the customer, it's not because the customer is asking us leave, it's because we can spend all day with that one customer; and it's our opportunity to see as many customers as is practical on any given day. So we have the time to engage in substantive dialogue.

And, again, because of a highly fragmented base of customers, it requires the scale, the scope and the reach; and our discussions are very deep, focused well beyond products. We're focused on the overall health status, in the operation with the herd, understanding needs, wants, challenges, and how best that we can position our products and services to be able to meet them.

We define our customer engagement model in one that focuses on solutions and bringing value to our customers. When we manage a very broad and diverse portfolio of products, programs and services, it's important that we

tailor each and every one of those engagements on what matters most to that customer, what's relevant and what's resonant.

We have a deep understand of the wants, the needs, the challenges. We're able to tailor our discussion in a way that will have the greatest impact to that unique customer. This model changes the dialogue that they have with companies that are maybe only product or one-product focus. Not only does it have the opportunity to continue to increase sales, but it provides a tremendous competitive advantage for us.

Also, Zoetis leads in the use of technology and digital tools, not to just enhance the impact on performance, to find new ways to generate sales, but also to do so efficiently. So our ability not only to support our field-based representatives, but also to connect with those customers where it doesn't make sense to have a representative visiting. We're leveraging technology, again, not to only to drive effectiveness, but also to do so in the most efficient manner whether it's our 24/7 e-commerce platform, the digital tools we provide, the representative to transact and make that sale with the customer at that time, or in best-in-class CRM systems to best understand the needs and wants, and to be able to share that information rapidly across the teams and all the different colleagues that may be calling on different customers.

What I'd like to do now is go a little bit deeper and speak more specifically about the U.S. market. The U.S. market in animal health, a little over \$7 billion, of which Zoetis through 2013 enjoyed about 26% or \$1.9 billion. And you saw earlier, we employed a little over 800 field colleagues, traditional sales and tech services; and we continue to outperform the market, not only overall, but in each of the species in which we operate.

The U.S. is the largest segment by revenue for Zoetis; and the U.S. is also, for Zoetis, the number one animal health company in the U.S. market. If you look at our breakdown in the mix of species, to keep the math simple, it's divided evenly between livestock and companion animal.

If you look at our performance, we've continued and steadily increased revenue year-over-year in the mid-single digits, and we will continue to do so. And even more impressive is our performance on earnings, steady, predictable, growing and growing at a rate faster than revenue; and that will continue as we move forward. So, again, not only effective, but very efficient in how we manage the business.

Talking more specifically about trends that we see in the market across companion animal and livestock: one, with an ever improving economy, we continue to see the spending on pets in households continue to grow. Even though there's always discussion about channel shifting, as I've had the pleasure to tell many of you, we still see the role of the veterinarian as seminal in understanding; diagnosing, developing the treatment protocol and working very close with the pet owner on how to best to maximize the health of the pet.

So, yes, there are channels that can continue to evolve. But the point here is the role of the vet will continue to be sacrosanct in that process.

Across livestock, we see demand continue to increase across all protein segments, not only domestically for internal consumption, but also externally; and the U.S. continues to be a major player in exports across each of the livestock segments or protein segments with a mix of an ever improving economy.

Demand for exports, demand locally, and also with the price of inputs, feedstocks continuing to go down. We're realizing tremendous levels of producer profitability. But at the same time, the supply of animals, for a myriad of reasons, continues to decrease, which means the value of each individual animal is that much more important and their need, therefore, for Zoetis, our products and our people becomes that much more important.

And yes, there's been a lot of discussion relative to the use of antibiotics in livestock and we see that scrutiny continuing. But it's very important to understand as it relates to Zoetis a couple of things. We sat at the table with the trade association for animal health companies and worked hand-in-hand with CVM, the FDA in making sure that we agreed in the phase out of the use of antibiotics only for growth promotants, but we also agree strongly with the FDA that decisions on the use of antibiotics need to be science and fact based.

And in that respect, Zoetis is well-positioned to make sure that we're not only supporting the judicious use of antibiotics, but equally important that those products are used under the supervision of a veterinarian and we're helping to drive that.

In the backdrop of those trends, I'd like to talk specifically about the strategies that we're going to use to continue to drive growth and profitability in the U.S. One will continue to maximize our portfolio, and we'll also build on that existing portfolio. Juan Ramón highlighted the recent acquisition of the animal health products for Abbott, and that's a tangible example of continuing to strengthen what is the best-in-class portfolio in our industry. We'll also continue to grow in complementary spaces whether that's diagnostics, genetics, bio devices. And yet again, the recent acquisition of the products from Abbott Animal Health also reaffirm that.

We're bringing products in for glucose monitoring. We'll continue to expand our reach and our penetration with strategic accounts with that broad portfolio of products and programs. Our ability to meet the needs of customers large and small could not be better, and we'll continue to leverage that. And last, but certainly not least, we will continue to have a seat at the table with regulators, with legislators to make sure that we protect the freedom to operate, not just for Zoetis, but for our customers, right? We take the responsibility for stewardship in the industry.

I use this slide to say how do we bring all these pieces together. First, it starts with that best-in-class field force that's focused on bringing value each and every day. It's a word that's thrown around a lot, but we use value and recognize Zoetis does not define what value is. That value is defined by our customers each and every day. And we truly believe based on what we hear from our customers that Zoetis has the best-in-class field force. That field force is focused on selling solutions. Helping the customers win and win with their customers, and we also continue to support our sales teams, as well as our customers with the best-in-class digital tools to help them, but also portfolio progress.

Best asset that we have after our great people, our great products is how we weave those products together in a portfolio. And let me just give you a quick example of that. Our ability to come as close to being a one-stop-shop for our customers is how we leverage that broad portfolio.

And whether it's with veterinarians or producers, it's how they see the benefit of working with us across products, across therapeutic areas and designing programs and services that connect those products with it. Drives a tremendous amount of loyalty, helps to increase volume, but also rewards those customers for staying with us and working with us across various therapeutic areas.

We've seen that these products help to insulate us from not only branded competitors, but also generic competitors that may seek to leverage only price as a way to get a foothold. And we believe best-in-class people, best-in-class products, but how we weave these products together in our offerings provides again a very competitive buttress to our customers.

And again, value is defined not by us, but defined by our customers. And this is the most recent ranking of one of the external sources within the U.S. that they do these surveys every other year, every two years. And you can see the last one through 2012, Zoetis ranking relative to the other animal health companies in the U.S.

So key takeaways. Not only is the U.S. the largest segment for Zoetis. Also within the market, Zoetis is the number one animal health company. We're growing faster than the market not only overall, but in each of our key species segments, and we aspire to continue to do that. And we'll continue to drive not only revenues, but profits faster than revenue to continue to provide value to our shareholders.

And so, with that, I'd like to turn it over to my colleague, Joyce Lee, to give an overview of our Canada and Latin America region.

Joyce J. Lee

Executive VP, President-Canada & Latin America

Good afternoon. Thanks, Clint. It's my pleasure to speak to you about Canada and Latin America. I'm responsible for this region, and my name is Joyce Lee. So let me first talk to you about our region in just a macro level.

So Zoetis is a market leader with direct presence in 22 of our countries in Canada and Latin America. We have 600 colleagues based in this field, visiting customers every day with their commercial excellence and technical differentiation.

In this region, we have a dynamic diverse mix of emerging and established markets. So if you think about Latin America, it's definitely emerging in terms of companion animal business. However, if you think about some of the livestock segments such as poultry and swine, we consider them to be established. For example, Brazil is probably the largest poultry producer in Latin America.

Canada is an established market, as you would imagine, with more than 75% of companion animal medicalization rates. However, Canada is very high-value market for Zoetis.

In this region, I also have the pleasure of working with the two countries with the most available natural resources. Arable land and fresh water are very important to livestock production, and Brazil and Canada are number two and number three countries in terms of source arable land and fresh water.

So let's look at the composition of our region. So if you look at to your left, you could see that five countries in Canada, Latin America represent about 85% of the total business. And if you look at your right side of the bar graph there, is breakdown of our species. As Juan Ramón mentioned in the world market, about 60% of our total animal health business is in livestock. In Canada and Latin America, the livestock represents about 78% of our total business.

If you look at the companion animal breakdown, what's really interesting about this is that Zoetis has been focusing on our efforts of educating our pet owners. In addition to that, helping our veterinarians to come closer to the pet owners and increasing our share in companion animal business. And we have been able to increase our companion animal contribution to 22% in 2013.

So when you look at the financial graph here, first of all, the bar graph – this is a little bit [indiscernible] (54:56) because the impact of exchange, so these numbers are reported. We continue to grow our revenue faster than the market. We continue to grow earnings faster than the revenue. 2014, as of Q3, we grew 12% in revenue. In addition to that, we grew faster than the market.

We're focused about customers. We're focused about bringing value to our customers. And this year, we've emphasized our strategic portfolio pricing and represented how Zoetis is bringing value to our customers through

economic analysis of their return. Through this, we've been able to increase our margin significantly and bringing value to Zoetis and also bringing value to Zoetis shareholders.

In long run, in aggregate, we expect Zoetis Canada/Latin America to continue this trend, the proven track record we have these past several years as a company, as an organization. We continue to expect this region to outperform the market; in addition to that, continue to bring value to our customers, the value our customers will recognize.

So let me talk about some key trends in our market, and I get very excited about talking about some of the key trends here. They're very, very dynamic in terms of rapid middle class growth in Latin America and rapid growth in population. So in Latin America per capita, it has the highest birth rate in the world. Canada's population is growing, mainly driven by immigration. But these two elements are very positive elements for Zoetis. In addition to that, growing middle class means that they have more disposable income and they're becoming more aware of how to care for their pets.

So they're willing to spend more of their disposable income on more premium protein and also for their pet care. And as we think about world trade, we talked about growing population in the world. And Canada is number two exporter of swine meat to the premium markets such as Japan. Chile is actually number three. When you look at the world trade, there are so many opportunities for our livestock producers in Latin America to also participate; and they continue to increase their participation in the export.

In a country like Argentina, the government has sponsored the poultry producers past several years to increase their production so that the producers could export to emerging markets such as Russia and Middle East. As these markets are becoming more focused on world trade, there is demand for harmonization of the regulatory standards.

Zoetis, with a long-standing history of commercial excellence, innovative solutions and high-quality products, we're best positioned to partner with our customers and to take on this challenge of increasing our participation in the world trade. And also because there has been increased growth in the livestock segment of our business, a lot of our producers in Latin America, a lot of them have early adopter mentality. You can see this example in real life by looking at our premium injectables market share in Latin America and Canada. Zoetis has one of the highest market share for premium injectables.

In addition to that, we have examples of customers, livestock producers, swine producers in Brazil and Colombia being early adopters of our innovative products such as IMPROVAC, where it really has shifted and changed the way our producers produce swines.

I talked about abundant resources. Sometimes the lifecycle, it's down to basics, weather conditions, arable land, fresh water; these are very, very important elements of our business. And we have natural resources that are available to us which is unique to our region.

So how is Zoetis catching all these, the interesting external factors that I talked about? One, it's all about our customers; putting our customers first, and putting our commercial model that focuses on our customers. We have commercial excellence programs where we're focused on bringing value to our customers through maintaining and sustaining a meaningful, impactful relationship with our customers.

We also are continuing to invest in emerging markets. I talked about companion animal business being an emerging market for us in Latin America. Let me give you an example. Medicalization rate in Latin America is very low, as Juan Ramón mentioned earlier. In order to bring veterinarians and our pet owners together, and also

in order to educate the pet owners about the healthcare, the well-being of their furry friends, we have been sponsoring in Argentina in the past couple of years a dog run, where the pet owner has to bring their dog that they're going to run with to a veterinarian and get a health checkup to make sure that the dog has proper vaccines, and also to make sure to do regular health checkup; and you get certified by your local veterinarian. And with that certification, you could run with your dog on a beautiful Sunday morning in Buenos Aires or Rosario in Argentina.

In 2013, we had close to 3,000 participants, 3,000 pet owners with their dogs. In 2014, we had close to 5,000 participants this year. So these are some examples of how we're bringing our customers and veterinarians closer together and adding value.

Invest in innovation. There are so many examples of how we're investing in an innovation. However, one example I'll share with you is that we've been continuing to increase our profitability of our regions through demonstrating health outcomes, economic value to our customers; and we call that outcomes research. We're able to do this through our commercial model and our three connected inter-capabilities that we've been talking about this afternoon.

So in summary, I'll fit this in a real life recent example of how a life cycle planning has introduced a new offering for our customers. So through our commercial organization, as our colleagues visit our customers on a daily basis, our customers are expressing to us that their animals are taking a little bit longer to get them back into production when they have bacteria-borne disease challenges. So we have a very long product. It has more than six decades history with us. It's TERRAMYCIN, it's the original product. It's an antibiotic for a broad spectrum protection. And this product is actually approved for all species in Latin America.

So what customers were telling us is that we need to get our animals back into production earlier, but we see them in pain and we see them having fever and as a result of that they're not able to get back in production faster than they would like.

Zoetis is a leader when it comes to pain in companion animals business. However, we were not a market leader in pain in cattle. This is an example of how we brought two strengths together. We brought our strength in Terramycin long-acting, a very high brand recognized product with addressing our customers' needs in terms of pain and fever. So we introduced a product this year in Brazil in August, Terramicina Mais.

This new offering to our customers only took one-third of a time in normally would have taken in this product in this space. How do we do that? Through our commercial model with our customers' relationships that we had, we were able to hear our customers' voice, their unmet needs.

We took that idea, the requests from our customers through our local R&D organization in Brazil and we came up with this product in less than a one-third of what it would've normally taken due to the fact that we have a local manufacturing in Brazil who were able to get this product to the market in a very speedy way.

This is an example of many other examples where we have in this region where our value to our customers through three interconnected capabilities does make a difference. A message I would like to leave with you is Zoetis has a long history, a track record. We had positive external elements in this region. And in addition to that, we have very strong three interconnected capabilities that will continue to bring value to our customers that will be recognized by our customers, which will then translate into value to our shareholders.

Thank you very much for your attention. Now it is my pleasure to introduce John O'Connor.

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John O'Connor
Investor Relations Officer

Yes. [indiscernible] (01:05:07) please. Thank you. I apologize to everyone on the webcast and in the room. We've learned that through a technical error, our guidance was briefly visible. We have released our press release and filed our 8-K with the Securities and Exchange Commission which includes our guidance for 2015 through 2017.

Again, I apologize to everyone. Paul Herendeen will offer a full discussion of our outlook for those years when he comes up for his presentation later today. We will, at this time, continue with our regular program. Thank you.

Stefan Weiskopf
Executive VP & President-Asia Pacific Region

Thank you very much, John. And, ladies and gentlemen, let's continue our journey around the world and leave Canada, Latin America, and move a little bit further away across the Pacific to Asia Pacific.

In Asia Pacific, we at Zoetis, we are the market leader and consistently growing our market share over the last years. With more than 1,200 of field representatives, both sales reps, as well as technical service staff, our products are available in more than 25 countries. Strong commercial capabilities, but also strong local manufacturing footprint which you see here and also specific R&D efforts in the region enable us to leverage all our three capabilities.

Now let's have a look to our region with respect to the split. And if you look to your left-hand, you see the country split. Diversity is our strength. We see here, on one hand, the developed markets led by Australia, as well as Japan, growing more in a single-digit manner, but then we have our emerging markets growing double-digit and here led by China, India. Also, very balanced portfolio when you come to the species, companion animal species, cattle, swine, almost similar size; a nice segment of poultry. This is a very balanced portfolio in Asia Pacific.

But now let's go to the revenues. How the financials look like? Over the last three years, Zoetis in Asia Pacific could consistently grow their revenues at a compounded annual growth rate of 9%, faster than the market, consistently winning market share in Asia Pacific.

But the other point you see on your left-hand now goes to the core, and that's the profitability. In just three years, we increased our segment earnings as a percent of revenue from 28%, by 10%, to 38% due to a mix of top line growth, gross margin improvements, but also very mindful expense management.

And moving forward on the long-term, we are expecting Asia Pacific to continue to grow in the high-single digits. Now what are the growth drivers in the market behind this growth? On one hand, I mentioned already these two buckets, the developed market expected to grow more in a single-digit manner; and then we have our emerging markets with a faster growth pace.

About the general big mega trends. Juan Ramón has already talked about this, the positive demographics and economics. If you take one thing home from this Asia Pacific presentation, this is what I want you to remember. When we look to the growth, almost 50% is expected to come from China; and swine is the fastest-growing species.

And with swine, let's bridge into another trend, which is driving this growth, and this is an increased modernization of farming in Asia Pacific. Coming from a backyard environment, more and more of our animals

are kept in modernized farms; and this is a big advantage for us. We can easily reach them. Our feel for this tech services can help and enhance their production.

I talked a lot about emerging markets. But emerging markets story has two big components. On one end, it is the growth which has generated the consumption growth in the emerging markets; on one hand, then supplied by the emerging markets.

But there's another element. This additional demand is also supplied from outside, from U.S., from Canada, from Brazil. But not only from those, also in Asia Pacific, Australia and New Zealand we have export hubs which are geographically close to those emerging markets.

And finally, I don't want to hide the companion animal business. With the growing affluence, think about China, they are into social demographic changes, aging societies, more single households, one child policy also as well. Here we see many opportunities for our companion animal business. So good growth strength in Asia Pacific. Now how are we at Zoetis leveraging those opportunities?

First of all, on your left-hand, you see our global strategy which we are also applying in Asia Pacific. It's leveraging our strong local presence, the strong field force and technical service outreach to really strengthen further our customer relationship. Most specific to Asia Pacific is now the other strategies looking where do we focus our assets? We focus the assets on pockets of high growth; on one hand, those emerging markets, but on the other hand also selected pockets of high growth like beef in Australia. Companion animals in Japan like dairy in New Zealand.

Compared to other regions, we can still broaden our portfolio in Asia Pacific, and this is one of the key strategies. We are doing this by our own research and development efforts, but also by business development activities which complement our portfolio, which complement our offering to our customers.

And finally, an important strategy in Asia is our efforts on talent development and driving entrepreneurial mindset through talent development initiatives.

And with this, I want to give you a little bit more tangible example, how we are leveraging our three interconnected capabilities in Asia Pacific. And I take a specific example, and guess where, it's from China.

And in China, over the last years, we built a strong and expanded and built a strong field force. To have also being able to manufacture locally our vaccine, we went into a joint venture partnership with a local Chinese partner to bring local strains, local vaccines. We partnered also with a local R&D company.

And finally, with our own commercial forces, we marketed a new product, which came out of this combination of local R&D, local manufacturing on international standards with a strong success in the market. And this product, which is called, Rui Lan An, it's a swine vaccine. Within 12 months, it's more than 300 swine farming companies are having this product. It's already the second-largest vaccine in its class in China and already our fourth-largest product in Zoetis.

So you see, this is how we are implementing our three interconnected capabilities. And to close this with a short wrap-up, Zoetis in Asia Pacific is the market leader and is growing faster than the market. Think about for the future. China will contribute about 50% of the entire growth and swine will be the key species. And having our three interconnected capabilities with the innovation in Asia with quality manufacturing at international standards and with a very strong commercial capability we are leveraging and expanding our position in this exciting market.

With that, let's continue our journey and no, another – okay, short stop in the journey, please.

John O'Connor

Investor Relations Officer

Thank you, Stefan. So, we'll take a 15-minute break now. We're almost at our break any way. We'll resume in 15 minutes with Dr. Alejandro Bernal to discuss EuAfME. We'll then continue with Dr. Cathy Knupp, as well as Kristin Peck and then Paul Herendeen. Thank you.

[Break] (01:15:51-01:16:02)

John O'Connor

Investor Relations Officer

Okay. So, we're ready to resume. It is my pleasure to introduce Dr. Alejandro Bernal to give us an overview of the Europe, Africa, Middle East region. Alejandro?

Alejandro Bernal

Executive Vice President & President-EMEA Region

Thank you. Welcome back, everyone. So, EuAfME stands for Europe, Africa, Middle East. Now one thing to remember is that there is not such a thing as one EuAfME. In fact, there is not such a thing as one European market. EuAfME is a region with a very wide diversity of market segments and market. And where Zoetis is leveraging the three interconnected capabilities, we are able to constantly introduce innovation through products and services, also creating a solid and durable relationship with our customers and constantly expanding into new attractive markets.

The EuAfME region shown here in orange contributes to Zoetis with \$1.1 billion of revenues generated in 78 countries, thanks to the presence of our 800 field colleagues. In terms of the animal health market development, we could split EuAfME into different areas. On one hand, we have Western Europe, representing the area of EuAfME with a very large consumption and production of animal protein and also one of the highest areas in terms of pet ownership and medicalization. Likewise, the rest of the region is represented by emerging markets, and I mean the countries that are present in Eastern Europe, Middle East and Africa.

What these countries have in common is that they're growing very fast. They're growing very fast following the same drivers that have been described to you today. Very fast demand for protein and also an increasing importance of pets and quality of medicine that is provided to pet in many of these countries. And the important thing to remember is that Zoetis is well-positioned to serve the needs of these very large variety of customers today, but also to capture the many growth opportunities that will be present in EuAfME, like for example, to continue following the rapid expansion of the companion animals segment and the rapid expansion that I mentioned of emerging markets.

How is the mix of this \$1.1 billion of revenues in EuAfME? Let's just start with – geographically on your left side of the screen. As you can see, the markets in emerging markets, the 50-plus market, where we do business in emerging markets, represent approximately 20% of our revenues. And this segment is the one where we foresee the greatest revenue growth coming from in the future.

Beyond that, we have some large markets in Western Europe, but none of them represents more than 14% of our total revenues. And even in Western Europe, where there are many other markets, approximately 20 of them represent the remaining, roughly, 24%.

So, on the right, you can also appreciate the high level of diversification reflecting our leadership in cattle, but also our very strong presence in companion animals in swine and in poultry. This high level of diversification, which we can only have, thanks to the breadth of our portfolio and the scale of Zoetis, has helped us deliver a consistent level of revenue growth. Let me elaborate on this.

As you can see in the graph, especially the operational growth numbers, you can see how in EuAfME in the last four years, we have delivered consistent 3% operational growth, this growth being always in line or faster than the market.

More importantly, we have been experiencing a rapid and consistent growth in our margins. As you can see from 2011 to 2013, we have grown 500 percentage point in our earnings – in the percentage of earnings to revenues from 32% to 37%, thanks to our demand generation model, we can, by being close to our customers, consistently leverage the opportunity to increase prices, to improve our margins and to consistently look for ways to run our business more efficiently.

What can we expect for the long-term? We expect very reliable low-to-mid-single digit growth in revenues and continuous margin improvement. Now our growth, as well as the industry's growth will depend on certain trends that I would like to elaborate more in-depth in the next slide. Which are these trends? There is one that is not going to change, which is EuAfME will continue to be a very diverse region, that will continue to be market in very different dynamics of growth. And, we, as a company will continue to focus on tailoring our strategies to those needs of our customers.

On the other hand, consumers, particularly in Europe, are showing an increasing interest in understanding how the animals that produce the food that we eat, how they're raised, what they eat, what medicines they receive. And what this is creating is the emergence of many stakeholders, particularly in the food chain industry, that are representing the voice and the needs of those consumers. The last and very important trend that we track very carefully is the evolutions in the regulatory environment.

The European regulatory authorities, which by the way, have a very strong influence on the rest of the EuAfME region. They have shown their commitment to lead the world in trends like increased protection of animal welfare, in reduction of the use of antimicrobials, and they have created a market where it is easier to register generic molecules. So, what's important today is that in that context, Zoetis, and with the use of our three interconnected capabilities, we are successfully competing and growing in the marketplace.

So, in addition, to monitoring these trends, we focus our efforts and our investments around the following four strategic priorities. You heard from Clint that we have many different type of customers or I should rather say, decision makers that contrary to when we were comparing the animal health and the human health, we have the luxury of speaking directly and creating a direct relationship with those who decide the use of our medicines.

Veterinarians are one of the most important decision makers for our medicines. And thanks to the scope of our presence and our relationship with our customers, we focus in not only presenting innovative products to them, but to work very closely with them in helping them get the best of the experience of doing business with Zoetis.

For example, when we launch vaccines in the livestock segment, we focus on not only presenting what their products are, what they do for their patients or their farms, but in helping them, their staff, their business,

position those products effectively. And in many instances, we partner with them in getting many livestock farmers understand the importance of prevention and the value of vaccination in their production systems.

Likewise, on our second strategy, which is responding to the increasing importance of some of these food chain players or in many instances, the increasing role that farmers directly or pet owners are having in the final decision for our products. And what we do there is to invest in continuously increase the capabilities and the expertise required to have that level of influence over the use of our products.

Our third strategy on the bottom of the pyramid is one that will be generating, as I mentioned earlier, the greatest amount of revenue growth in the coming years because it reflects our commitment to expand our direct demand generation model into many emerging markets, many fast-growing emerging markets. We can do this, thanks to the scale of our business and the breadth of our portfolio.

At the center and at the core of all these strategies, and I shall say at the center of what we do best, what our customers recognize the most from Zoetis is our commitment on innovation, innovation in discovering, developing and manufacturing new molecules, innovation in expanding the life cycle and the value of many of our existing brands and innovation in introducing digital capabilities and many other services that enrich the lives and the businesses of our customers.

Let me share with you one example that will put these strategies clearly into perspective. The example is about the recent launch of one of the most innovative vaccine in poultry. The vaccine is called Poulvac E. coli. E. coli is a disease that causes significant economic losses for poultry producers all around the world and that before the introduction of our vaccine, could only be treated with the use of antibiotics.

So, Zoetis delivered – showed the commitment to innovation and to be the first to market by bringing patented technology in the first place to market that responds very clearly to the customer needs. Which needs? The needs to prevent diseases rather than treating them, the needs to prevent diseases in an effective way, one that reduces the economic impact of the disease, and one that is also easy to use, which is what our presence in the field is leveraging every day in our contact with our customers.

The best testimonial of the value that we can bring with these products can be seen in what has happened in one of the most important poultry markets in Europe, which is France, which is less than two years after launch, we have been able to capture almost half of the target users of our vaccine.

So, as you can see, there is not such a thing as one EuAfME market, but what is true is that Zoetis is very well positioned to capture the needs of all the diverse customer needs that we have in EuAfME and the many future opportunities that we have in the region.

As we continue to invest in innovation, in innovating with new products and services, in creating every day stronger and more durable relationship with our customers, and as we continue to expand in attractive markets, we are confident that EuAfME will continue to deliver reliable revenue growth and market improvements for Zoetis.

With this, ladies and gentlemen, it is my pleasure to introduce Dr. Cathy Knupp. Thank you very much.

Catherine Ann Knupp
Executive VP, President-Research & Development

Thank you, Alejandro. Good afternoon, everyone. It's my pleasure to be able to talk to you about R&D at Zoetis. So, you heard my peers talk at great length about the things that drive us at Zoetis. So, our focus on the customer, the insight that we gained from the customer, I like the way Clint put it, the needs, the challenges, the opportunities, that's really at the core of what we're working on within the R&D organization. Alejandro, Stefan, Joyce, they've given you great examples of why it's important to have global scale, but also a local presence.

Those customer needs are not the same in every market around the world. And we have to be present where our customers are in order to deliver the products that bring them value. And by bringing our customers value that ultimately translates into support for the strategies of Zoetis, the growth in revenue, and the delivery of value to our shareholders.

So, Juan Ramón started this off saying a little bit about the differences, the advantages that we have in animal health R&D compared to human health. Not unlike Clint, I also spent 18 years in human health. I will probably have been responsible for running more studies on behalf of medicines for people than I will on behalf of medicines for animal. I can tell you that there are distinct advantages to working in animal health.

First, we're able to explore our potential new therapies in our target species of interest from the very first day. With that insight that will come from those initial explorations in our species of interest, we're able to take decisions sooner with respect to what are we going to advance and what are we going to stop, before we get to late stage development, where we've truly invested a significant amount of money.

We're also able to use that earlier insight to build a faster cycle time. And a faster cycle time, coupled with a lower level of investment in order to be able to deliver that product, offers the better opportunity for a return.

And what about the strengths that we believe differentiates Zoetis with respect to our success in the animal health business segment? So we can start with those customer insights. You've heard my peers speak about that. Those insights really inform what we're going to work on and how we're going to approach it. Couple that with substantial internal expertise, subject matter knowledge that expands to decades, and we're able to leverage that in order to then progress what is going to be that opportunity.

And we utilize our world-class facilities that are regionally located particularly efficiently when it comes to managing a portfolio where a significant segment of interest lies in preventing disease. You need to have world-class facilities in order to be able to understand those disease entities in a safe and reliable way.

But all of that knowledge does not come from within the organization. We make excellent use of more than 300 external collaborative partnerships looking for substrate, looking for new insights, looking for the technologies and the platforms that we're going to be able to use across the portfolio.

And finally, that regulatory knowledge, Joyce gave a great example of it. It's not just the knowledge of what it takes to register a product in a particular market, but we live in a global market when it comes to livestock. We have to be knowledgeable about what are those requirements and expectations from an export perspective to make sure that the customers using our products in one market can continue to create the economic value that they need with respect to exports to another market.

And those regulatory relationships give us another opportunity. It's the opportunity to influence the evolution of the regulatory expectations for our products. Clint gave you a wonderful example of how we've partnered with the Food and Drug Administration looking for ways to improve the responsible use of antibiotics here in the United States.

You are also hearing about the diversity of the portfolio. So, we have a number of different approaches, recall eight species, five major product categories. We're heavily invested and looking for ways to prevent, as well as treat disease, both infectious and non-infectious. You heard about our customers and their need for efficiency in the production of protein. As the global demand for protein increases, we have to find ways that enable our customers to effectively create weight gain, performance optimization, beneficent, affordable production of protein, and we can do that through innovative products that create value. And we complement that spectrum of products with our offerings in genetics and diagnostics, giving our customers another way of managing in their environment in order to create value.

And finally, I want to acknowledge our biodevice segment. Biodevices are critical for efficiency within the poultry sector and we're a leader with respect to addressing customer needs in that regard.

So, I want to now talk to you about how do we go about making our decisions about what we're going to invest in in R&D, because I can imagine you thinking you're in eight species, five different major categories, you heard about the need for regional differentiation. So, how do we go about making decisions that are focused on the value to our customers, the revenue opportunities, and ultimately, the creation of shareholder value. So, let me walk you walk through that.

So, it starts with that understanding of customer need, and that customer need is not that defined only by what is obvious today. We live in a very competitive industry. So, if we were only looking at what the customers need today, we would be missing out on an opportunity. So, we have to be able to be very thoughtful about what are the latent needs, the needs that the customers may not even realize are critical to the future success of their business.

And with an understanding of those latent needs, we can translate that into a profile. And that profile then begins to guide the journey of R&D with respect to what are we going to work on. And ultimately, we have to align that profile to what do we see as the market opportunities for growth, for differentiation, by species, the therapeutic area, as well as by region.

So, with that high level of understanding, what does it look like on an annual basis when we are seeking to make investment decisions? So, I've already articulated how we start with that insight from a customer in order to be able to inform a profile. When we create a profile, it's really with the end in mind. What is it that we're trying to address in terms of an opportunity? We create what's called a level zero valuation. We want to understand what is that opportunity potentially going to be worth if we're able to deliver on its expectations.

And then, we look to see do we think we have a technical approach? And is that a technical approach that can be supported by the expertise that we have internal to the organization, or is it an opportunity that is best served through an alliance, a consortium or a business development deal that allows access to a substrate that we wouldn't otherwise have at our disposal.

So, with those considerations, then we get into opportunity selection. And that's a process that is robust, it is focused on differentiation in terms of value. And with that decision made, then we can go forward and we can fund, we can allocate investment to that particular project in the pipeline, and we can reexamine the fundamentals of that investment as that project continues to progress through stage gate. So, if something changes, we are prepared to stop. And we put all that together into an annual funding exercise. We proceed with execution, we draw the timelines, we commit to our plan and ultimately, we deliver that product to the market and to the customer when they need it, and it's what they wanted.

And one final insight with respect to that prioritization process. So, I talked about it at a high level, I talked about it as an annual process. What does it look like when we're evaluating an individual asset? And, yes, we evaluate

every single asset in the portfolio every year in a very disciplined fashion and we make choices, and we rank them off. And in that exercise, we're looking again at customer importance. Does it meet the need for the customer? We're looking at technical feasibility. What is the probability of technical and regulatory success? What is the time line? We look at return on investment. It's what we are about to continue to invest in this project going to offer a reasonable return in terms of revenue? And then we look at commercial value. How does this entity fit within the strategic framework that we want to be able to offer our customers in a particular segment and in a region? And how do we execute against that portfolio?

So, we have global scale and we have geographic reach. And there's three things I want you to keep in mind with respect to the way we are organized. So, we need to be close to the customer, not only to understand that need, but as we are executing our field trials, we need to have knowledge of the region in order to be able to successfully progress, particularly according to the investment plan and the time line that we've created.

We need to have those regulatory interactions. We need to understand expectations. We need to be able to influence the direction of the regulatory process. And we need to be collocated with manufacturing. That collocation with manufacturing offers us two benefits. First, in the case of emerging infectious diseases, it is the way we quickly progress from the identification of a disease to a product in a bottle. And secondly, as we're developing those processes, particularly for vaccines, we want to make sure those processes are robust. We want to make sure they're efficiently transferred and we want to ensure that we have an effective margin and cost of goods. And that's the benefit of co-location.

So let's move now into the pipeline, innovation. So, innovation is not just about new products, it's about innovation across the life cycle, it's about building enduring brands that continue year-after-year to bring value to our customers, make them want to select the Zoetis product. Our model is built in this fashion, so every product opportunity starts with something new.

And when we have that new idea, we're going to leverage the internal knowledge, the external expertise, in order to be able to deliver that first-in-class to that best-in-class product. But the knowledge that we generate for the development of that particular product does not stop there. That becomes a platform of knowledge and that knowledge is what we continue to leverage efficiently and effectively for the life cycle of that particular product, as well as the insights that it gives us for the development of new products.

That is a knowledge that is very difficult to replace, if it's not something that you commit to as an internal strength and capability. So, let's look at three examples that illustrate how Zoetis goes about utilizing this platform of new product innovation, building a knowledge platform, creating an enduring and valuable life cycle brand.

So, urgent needs demand speed to market. So, we have an aspiration in the field of emerging infectious diseases to be first to know and first to market in response to addressing our customers' needs. And in order to be successful in this space there is three dimensions. We need to have access to a surveillance network, so that we can start with that emerging antigen, that newly describe virus, we need to have a depth and breadth of capability with respect to the study of infectious disease and product development. And then we need to have high quality manufacturing processes that are flexible, nimble, able to pick up on that new entity and move it very quickly through the production of efficient product.

So, our customer need drives the rapid response. This is our example of the vaccine development trajectory for porcine epidemic diarrhea virus. 14 months from identification of antigen in our possession in the lab to having product in the bottle available, approved, ready to ship to our customers. And the story doesn't stop there because that need for a vaccine continues. It's in other market. It's in other regions of the world. The solution that we've developed for the United States may not be satisfactory in those other markets. So we remain committed in our

pursuit of not only a vaccine, but additional diagnostic offerings to help our customers combat this terrible disease.

And now let move in to new product innovation. First best-in-class. How we differentiate ourselves. So, I want to tell you a story. The story about APOQUEL. So, APOQUEL is a consequence of an internal research program and as we started on our journey of discovery we realized that we had something potentially very special in our hands from the very early days when we were evaluating this in some experimental models.

So, consistent with our investment philosophy around taking the best opportunities and quickly moving them through the pipeline, we advanced this one into development. We got into our clinical program. Our trials recruited very effectively, very quickly, response from the field was positive, was encouraging, but recognized it was a controlled study, no sneak peeks of the data. So, at that point, we were pleased with the results, but we knew we still had a journey ahead of us to turn those early encouraging field results into ultimately an approval.

But something special happened with APOQUEL. So, as the clinical trials were concluding and we had a controlled study, animals that were not receiving treatment with the investigational agent known as oclacitinib at that time, we started to hear reports from the field, and it started with our monitors. And our monitors were providing us feedback from the veterinarians and sometimes from the owners themselves. And that feedback was, as the animals came off of the protocol and returned to a standard of care, can we continue? Can we continue to have access? oclacitinib, the investigational agent, was making a difference.

And then another thing you have to appreciate about the difference between human and animal health is that the framework for compassionate use, for continuation therapy does not exist in veterinary medicine. And so, our initial feedback had to be, we're sorry, we'll continue to stay in touch, but we need you to return to standard of care. Until we got the letter, the letter that was the catalyst for change. And it came from a veterinarian, a practitioner in Rhode Island, boarded Veterinary Dermatologist, who described to us the story of a police dog, Keaura. And Keaura had been under her care for nine years, and he was a desperate case. But he got relief from oclacitinib. And she wrote us a passionate letter describing all of the things that she had tried, all of the options that she had exhausted. And she touched our hearts. So, I want you to know that those words Juan Ramón described, customer obsessed, our colleagues make a difference, do the right thing, those are not just words, that's the way we work.

So, we've reached out to the FDA. We created a framework for compassionate therapy. And three days before Christmas, Keaura received a box of oclacitinib. And we continue to support Keaura for two and a half years with the investigational therapy. And with all that's said and done, we supported more than 250 dogs for up to several years with the investigational therapy. That's our commitment to our customers and to creating value. And it won't stop there.

So, I mentioned that the insights that we gained from new product innovation create a platform, a platform that we can leverage. In this particular case, we have an understanding, now that's unrivaled in the industry with respect to allergic skin disease and the various pathways. This insight is giving us an opportunity for new product generation, products in the category of new vaccine, new biopharmaceuticals, and new small medicine approaches.

And that allows me to segue into continuous innovation, enduring brands. So, our innovation cycle has various degrees of complexity. It ranges from the simplistic of taking a dossier and filing it in multiple markets to the exceedingly complex innovation examples where we're looking at new species formulations, combinations, and different routes of administration. All of that lifecycle requires innovation.

And we have a remarkable story in ceftiofur. So, ceftiofur is the name of the active ingredient in a brand family of anti-infective, representing approximately 7% of Zoetis's revenue, but it's the best example of that continuous innovation cycle and the value that it drives from effective knowledge management and efficient use of investment.

So, every single component of lifecycle is illustrated with ceftiofur, new species, new claims, new combinations, new registration, new routes of administration. And this is an enduring brand that has value. It is relevant to our customers today as it was when we first launched it in 1988. Every product in our portfolio has a purposeful lifecycle plan. We strive for continuous investment, looking for good return on that investment through our robust prioritization processes.

But as Joyce described, we essentially don't miss an opportunity to leverage our knowledge in order to continue to innovate. It's the most effective use of the capital, both financial as well as the knowledge in the organization that we have to continue to bring value.

So, what kind of head of R&D would I be if I didn't try to inspire you with a vision of where do we go from here. So, this is a description of our pipeline, circa 2013. And what you'll realize is that we have some areas of common interest such as the parasiticides, disease prevention, disease control, management of pain. And we can leverage the knowledge we have that's common to the mechanisms and the understanding of these conditions, to create efficient and effective investment. So, those are the common areas.

And then, we can use our understanding of customer need, challenge and opportunity, that are species-specific, in order to go through that cycle of evaluation, profile generation and then ultimately targeting a new product offering.

So, we have over 400 entities in development, entities that range from time to market, to less than four years to upwards of seven years. They are supported by a research portfolio of 31 key programs. We're making good choices. We're looking out for shareholder value. And in that spirit, I'm very pleased to share with you that we have completed the filing of the Technical Sections with the FDA for Sarolaner, the active ingredient in the new oral flea-and-tick medications for dog. As Juan Ramón acknowledged, it's an area where we look for growth in our presence, strength in the opportunity. We anticipate impact from this program pending successful approval from the FDA in 2016.

So, with that pipeline, we think we are poised to shape the future. We are differentiated in the animal health space by the competencies that we have, by the geographic reach that we've invested in, we can take these complementary businesses of genetics and diagnostics. And particularly, when we look at the efficiency of protein production, we can leverage our understandings of what's already contributing to the successful and efficient production of protein in an animal and couple that then with a unique insight and understanding around how do we prevent disease. And we can envision being able to create products that align those opportunities across otherwise very different disciplines.

And you've heard Juan Ramón talk about the opportunities and the presence that we want to have in companion animals, again, where we can leverage diagnostics, genetics, to create a robust understanding of disease prevention and control, and couple that with an innovative product in that terrific technical support that Clint talked about in order to drive that value for our customers. And value for our customers is value for our shareholders.

So, let me close with a few key messages about R&D. I hope you've come to appreciate that there is a depth and a breadth with respect to the portfolio. We have a track record of continual innovation, of successful delivery of new products to the market. We're purposeful in our investments in lifecycle. We have a plan, we have a vision.

We also have an incredibly robust process for project selection, portfolio prioritization. We're looking at efficient utilization of the investment that we have and putting it to the best possible use not only in what we work on, but what we choose not to work on. And ultimately, we can bring all of that together in an environment based on those great customer relationships, where we can continue to offer those customers value and remain committed to the growth objectives of Zoetis, as well as that commitment to shareholder value that Juan Ramón spoke so eloquently about earlier in the presentation.

So, with that, let me turn it over to Kristin Peck, our President, Group President, who's responsible for global manufacturing and supply.

Kristin C. Peck

Executive Vice President & Group President

Good afternoon, everyone. I am excited today to present our third interconnected capability, our manufacturing and supply capability, which, I believe, provides Zoetis with the competitive advantage. And really, it's critical to enabling our long-term growth. And one key thing that makes Zoetis different is our singular focus on animal health compared to many of our competitors in the animal health base. And this matters because ensuring reliable supply is very challenging in a business with such complexity across species, across geographies and across technologies.

So, when I leave here today, I hope you leave with three key takeaways from this section. The first is, we have the network that we need to meet our customers' needs. Second, after spending the last two years standing up a new manufacturing and supply organization, we have the experience and the capabilities to excel at managing complexity. And last and certainly not least for this audience, I want you to know that we are never satisfied with this network. We are committed to continuing to find ways to evolve this network, to be more efficient, more effective and to drive margin improvement. And as promised, I will go through some of those plans today.

So this is what we call the Zoetis by the numbers for manufacturing and supply. We have about \$1.67 billion in cost of goods. That is comprising about 14,000 SKUs. We have 27 internal sites in 10 countries and about 200 external suppliers in over 30 markets. We manufacture internally eight major technologies, which I'll talk about from diagnostic devices, vaccines, sterile injectables, pharmaceuticals, API and we do all of this with a focus on quality. And in fact, since 2012, we've had 46 inspections with zero critical deficiencies.

And ensuring reliable quality supply isn't just that we say it's important. It's what our customers say is important. In fact, they polled a bunch of customers in 2012, about the 30 attributes most important from an animal health provider. And the top five most important attributes, all have to do with manufacturing and supply, high quality, consistent performance, on-time, product availability, and response quickly.

And what's most important today is the number one company on all five, is Zoetis. And how do we deliver that? We deliver that between internal and external. But focusing first on our internal networks, you'll see on this slide the 27 sites. And if you see across the left side, they're spread across the numerous geographies. Being close to our customers is obviously very important for a number of reasons.

The first reason is really ensuring local market access. In many of our geographies, such as India, China, Brazil, having local sites is critical and really enables our business. In other markets, it's actually a regulatory requirement when it comes to live vaccines. So, ensuring you have them across geographies is very important.

But if you see all the different sites, the ones in blue are our anchor sites. In order to manage costs with that type of a network, we manage anchor satellite sites. Our anchor sites are our larger sites. This is where you'll see some of our centers of excellence right now. This is where you see our quality labs. The satellite sites are much smaller.

So, for example, the sites in red are the satellite sites. You'll see they're connected to anchor sites, so they get a lot of their expertise, so we don't have to duplicate it from the anchor sites. And two-thirds of the smaller satellite sites are medicated feed additive sites. These sites, it's really important to be close to the customer, as these are heavy products and expensive to ship.

So, as you look about that, we can manage costs by having a lot of these smaller satellite sites, also, because when I say smaller, think 8 to 20 people. These are not big sites and the majority of these came from the Alpha acquisition and are fully depreciated.

As you see across the top, we also operate a variety of different technologies; biologicals, sterile liquids in pharma, APIs and MFAs, and diagnostics and devices. These are all critical to providing the comprehensive solutions that the regional president spoke about. As you can also see in blue, these are a lot of the sites that you just heard about in Cathy's slides where we collocate with R&D, which is critical to ensuring speed to market.

But how do we make the decision between what to source internally versus externally? We look on a product-by-product basis on ensuring quality, reliable supply at a competitive cost. So, if you look at internal, it's about 65% right now of our cost of goods, our products that we sourced internally. This is where we think having internal capability and a core technology is critical to ensure our future success. Examples, biologics, sterile injectables, these are very difficult to source externally.

It's also where we think we have the scale to be more than cost competitive and to have an advantage. But we also leverage external. External is important to leverage cost advantage and it's about 35% of what we currently manufacture. Here we can also access niche technologies, where making the internal investment really doesn't make sense for smaller product or niche technology or clearly another party is probably best in class. And we leverage the 200 contract manufacturing organizations in 30 markets to do this.

So, as you look overall at the network, I think we've made great progress in setting up our own supply chain over the last two years and in managing the complexity that is critical to succeeding in animal health. The first is ensuring quality. Ensuring quality is critical because it lowers your cost and it drives profitability. When you have less scrap and less waste and improves the cost of goods sold, and when you have quality and you have less supply challenges, you can increase your profitability with your customers by helping to gain share.

We also have a track record of continuous improvement and this is critical and I'll talk more a little bit about what we're doing to continue to evolve this. This also makes us very good at managing large scale change. We've integrated major acquisitions such as the Fort Dodge to Wyeth, the Alpha acquisition through King, and honestly standing up our own organization. We've proven that we can manage through significant change and continue to supply reliably to our customers.

We've also demonstrated that we're very good at integrating new acquisitions. And we're very excited to bring in the Abbott Animal Health assets. We are not bringing in any manufacturing facilities with that. All those products are externally supplied. But even when we have externally-supplied products, we still focus on how to improve the

reliability, how to improve the quality, and how to reduce the cost. And you can expect the exact same thing as we integrate the Abbott Animal Health assets.

So, I think, we've made great progress, but we recognize there's a lot more to do. And we need to be more aggressive and we are not satisfied at all with where the network is. And as Juan Ramón and Paul have discussed on previous earnings calls, we've been undergoing a network review over the last nine months to determine what network we need, both internal and external, to meet our long-term needs.

What I want to share with you today is the roadmap. This has not been finalized. And we're hoping to release all these and finalize it in the first half of 2015, but some of the key tenants of this plan are clear, and I'd like to share them today.

The first is, we need to focus internally on the core growth drivers of our business, specifically around biologicals and high-value pharmaceuticals. And we need to make sure we're best-in-class in these areas. And then, we need to make sure we set up centers of excellence in each of these technologies. And that we avoid duplications. And we leverage external suppliers, where we don't believe we're going to be most cost competitive.

We also need to make sure we tailor to local market needs. There's a tremendous amount of growth that the commercial president spoke about in emerging markets, and we have to make sure that we have the sites that can deliver on this, especially where to ensuring local market access or going to need to have sites.

We also have to ensure speed to market. As Cathy mentioned in her example, collocating with R&D really helps here, but we really want to [ph] maintain (02:04:16) we are first to market and best in class. And continuing to partner with R&D and really further driving our capabilities and innovations in manufacturing and supply is critical.

And last, and certainly not least for this audience, we need to do a lot more with regards to operational excellence, lean and continuous improvements in our sites, and we believe we have significant opportunities to do that, now that we have a stabilized organizations. And we believe if we do this, we can help enable and drive our long-term sustainable revenue growth, we can ensure and enhance the reliability of our supply, and we can ensure with our production margins that we can improve them over time.

But I also want to be clear that with regards to manufacturing and supply in the animal health industry, it does take time to transfer products, as many of you know. There are regulatory requirements that can take years in certain markets. And especially, based on the plan we're talking about, with centers of excellence, single-sourcing many of these products means approvals across multiple markets.

For example, in regulatory, it can take six months just on stability testing alone. And the requirements are often higher, and it's more challenging in biologics and steriles, which again are pretty critical to our portfolio. But we will be as aggressive as we possibly can be to make sure we expedite timelines wherever possible.

So, as you think about this strategy and the sense of timeframe, we're hoping to finalize plans, as I said, in the first half of 2015 and to kick off each of this three phase plans. But on the slide, you can see sort of when we think a lot of the impact and the value of these will be realized and to be more transparent to each of you.

The first phase is lean, fit and agile. This phase is focused on making sure we do continuous improvement at lean, at each of our core sites and our satellite sites, to drive out cost, to improve reliability, and increase efficiency. This will reduce waste and lower our cost of goods, and also ensure we have speed-to-market.

The second major phase is focused on excellence and simplifications. This is where we need to simplify our network. We need to focus our investments to reallocate our investments on the core areas of growth for the company, and to initiate a first phase of new type of COEs as these anchor sites.

And last, but certainly not least, we need to invest in growth, in the areas that really deliver on our long-term, especially in biologics, monoclonal antibodies and new technologies. And we need to do that to ensure that we can hit the long-term sustainable growth drivers that Juan Ramón spoke about earlier. And we're confident that if we do this, by 2020, in addition to overcoming inflation, this strategy will improve our gross margin by 200 basis points.

So, I hope when you take away from all of this, the first thing is we deliver quality, reliable supply. The second is we know how to manage complexities, and we make it a competitive, sustainable advantage for us at Zoetis. And last, we are never satisfied. We will continue to pursue improvements in our network to drive sustainable gross margin improvement over time.

So, with that, I'd love to turn it over to Paul.

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

Okay, thanks Kristin. Thanks Kristin. Really glad to be here. Get my slide. I want to talk to you about the financial dynamics of the business that my colleagues have described to you. And I want then, to talk about how – and share some insights about how you might think about our prospects. To do this, I'm going to step through each of the major elements of our P&L, as well as the major categories within our balance sheet. And I'm then going to provide a framework for how you might think about our recurrence on our net assets.

And finally, I'm going to provide some thoughts around our guidance for 2015 and our expectations for revenue and adjusted net income growth for 2016 and 2017. Now, you did get the opportunity, what's the plan, but you did get the opportunity to see our guidance for 2015 and the growth rates for 2016 and 2017. I think that my comments will help you think about that guidance. So, here we go.

Yeah, first, here's the financial story in a nutshell. We participate in markets that exhibit consistent, mid-single-digit growth. And our goal is to grow at that pace or faster than that pace. And historically, we've been able to outpace those markets – the growth in those markets and so, we've been able to gain share.

Second, we have the opportunity in both the near and the long-term to drive improvements in our operating margins, starting with gross margins where we can benefit from increased prices, increased efficiency, and longer-term through the simplification of our supply network that Kristin just spoke of. And we can leverage our existing sales and marketing resources with the expectations that these costs will grow at or less than the rate of inflation over time.

Once we've achieved the normalized run rate in our G&A cost, and we'll do that probably in 2015, we expect to be on the hold-the-line on those costs as well. Our investment in R&D is expected to grow at a rate less than our revenue growth and we will take all these factors together it enables us to improve our adjusted EBIT margin significantly over time. Then there are the opportunities to add to the value that we generate organically, through value-added acquisitions of complementary assets.

Now, I see this a lot, accretion alone is not enough. Our acquisitions have to make sense strategically, and they have to produce returns that are sufficient to justify the outlay of the capital. And finally, as we generate cash, if we

don't have a value generative cash opportunity to deploy that cash within our business, we're going to turn and we can and will return that capital to you.

Today, we announced a modest share repurchase program. The important message to our shareholders is this, we will be responsible stewards of your capital. Yeah, we have a regular dividend which we expect to grow at or above the rate of our growth of our adjusted net income. And now we add this share repurchase level. Share repurchase is an ongoing part of our capital allocation process. And by engaging in this, we benefit both our return on our net assets. But we also have the opportunity to enhance the growth of our adjusted net income per share.

So that's the overview, but before I get into the specifics of our financial dynamics, I do want to talk about foreign exchange and how it impacts our results. We are a global business and while we report in U.S. dollars, we transact in more than 35 currencies around the globe. More than 50% of our results are generated in currencies other than the U.S. dollar. So our reported P&L items that includes both revenues and expenses, are based on the FX rates that are in effect in that period. And those rates can be quite different than the rate that will be in effect in a prior period. So when you're comparing contrary results with a prior period, FX can be a very significant factor.

Like many other multinational companies, we do not attempt to hedge our operating results against future changes in the FX rates. However, we do hedge our transactional balance sheet exposures, which are mainly inner company matters. Accordingly, as we measure our performance, we take movements in FX out of the equation, and we focus on what we call the operational basis. We believe this is the best measure of how we're doing.

Now, launching into our P&L and starting with revenue. We participate at global markets that are expected to grow in the mid-single digits, 5% to 6% on an operational basis over the long-term. To be clear, in some years, the growth will be above that, and in some years, it will be below that. But over time, the long-term compounded annual growth rate is expected to be in that range of 5% to 6%.

We expect to grow our revenue in line with or faster than the growth in the markets in which we compete. So, thinking about Zoetis' prospects, excluding the impact of any M&A, we expect to deliver consistent revenue growth over the long-term. So why are we confident in our ability to drive that revenue growth over the long-term? Well, it comes down to the diversity, the durability, and the resiliency of our revenue stream. So, let's look at that.

Let's start with diversity. We market and sell a diverse group of branded products. We have approximately 14,000 SKUs, which we sell in 120 countries across eight species in a range of therapeutic areas. On this slide, you see that our financial health is not tied to any one product, species, country or therapeutic area. For example, when you look at the revenues from our top 10 product lines, you see that they aggregate to about 40% of our revenue. In fact, we are even more diversified than that, as many of our product lines are sold across different geographies. No one product line accounts for more than 7% of our revenue. That's diversity.

Next, durability. Over our revenue streams, only about 20% enjoy protection from intellectual property. Within our portfolio, it's not so much about IP as it is about the power of our brands. We build, protect and grow our brands out there in the field face-to-face with our customers. While generic copies of our product have an impact, the impact is a fraction of what you'd expect to see in human pharma. The result is that the durability of our products is quite high and the duration quite long.

To illustrate the point, here you see a chart of our top 25 product lines. The average time on the market for these brands is 27 years. And I'm going to repeat that for emphasis. Our top 25 products have been on the market for 27 years on average.

An important driver, the duration of our products, are the projects that are undertaken by Cathy's R&D group to improve, protect and grow our existing products through, for example, enhanced label claims or changed dosage forms. As products approach the end of the long life cycle, we have the capability to self-develop and introduce new products to offset those eventual declines. So that covers duration.

Now, resiliency. We have the good fortune to operate in markets that have demonstrated consistent growth in good economic times and in challenging economic environments. From 2006 to 2013, our industry grew at an impressive 5.6% compound annual growth rate. At the same time, Zoetis continue to grow and strengthen this position as an industry leader. The point is this. That timeframe included periods of economic challenge particularly 2008 and 2009, and yet our industry and our company posted growth. That's resilience.

So summing up the overview of our revenue streams, very diverse, very durable, and poised to benefit from long-term growth driven by macroeconomic trends. And we expect to add to our product portfolio through a combination of internal development and opportunistic M&A. Even setting aside M&A, we expect to grow our revenue in line with or faster than markets to which we compete.

When you think about our revenue prospects, I hope you'll agree the outlook is quite good. Moving to cost of goods sold. The diversity of our product lines is a very good thing when you think about our revenue stream. When thinking about cost of goods sold in manufacturing, that diversity creates challenges and Kristin described those a moment ago.

Our global supply chain is very complex and Kristin also outlined the ongoing work to simplify our manufacturing and supply network. The complexity and timing of those efforts to drive efficiency could not be overstated. Over the long-term, we can and will drive gross margin improvements through increased efficiencies in our supply chain. That said and I want to be clear, but there's a point that Kristin made to realize these improvements will take significant effort, investment and time. In the near term, say 2015 to 2017, we expect modest improvements in our gross margins driven by a combination of price increases and improved efficiency.

Looking out beyond 2017, we would expect to drive more meaningful improvements from greater efficiency and the simplification of our manufacturing network strategy. That strategy that Kristin articulated has the potential to drive incremental margin expansion of roughly 200 basis points by 2020.

Now let's look at SG&A. First, let's talk about what's included there starting with the most important piece, our customer-facing field resources. Globally, we have approximately 3,500 sales and technical personnel in the field. These field personnel are valuable and enduring assets in one of our most important competitive advantages. To our customers they are Zoetis, and the field forces supported by marketing resources and our investments in advertising and promotion. So, how do you think about those costs from a financial perspective? Well, broadly our existing field sales forces, marketing resources and investments in advertising and promotion, are right sized to promote our existing portfolio and we have the capacity to support additional products. That's a very long winded way of saying we have the opportunity to gain leverage on our existing investments in sales, marketing and A&P resources.

Each of our area presidents had a slide that show revenue and their operating profit progression and that's in a region from 2010 to 2013. During that period we held the line on selling and marketing costs and we delivered solid revenue growth, and the result was that we had substantial improvements in operating margins out there in the commercial regions. It wasn't perfectly linear, but it was impressive nevertheless.

So, then there are our G&A cost. First, let's talk about what's included here. It's the corporate functions like finance, HR and IT. In the past, we've talked about the challenges of building out our infrastructure that we need

in order to be able to stand on our own. While we made substantial progress, work remains. As we continue this work, the year-over-year growth in our G&A expenses is outpacing the rate that we would expect once we achieve a normalized rate of G&A spending.

We're still working towards that normalized level and we won't achieve it during 2014. Looking at 2015, the continued growth of G&A expenses will be the main driver of our expected increase in operating expenses in 2015 compared with 2014. As we continue to build out the infrastructure particularly IT to support our company's growth. Finally, there's distribution expense. It's about 3% of our revenue. And by its very nature, it moves roughly in line with revenue.

Looking at 2016 and beyond, we expect that our operating expenses will grow at a lower rate, something close to the inflation rate or less as we expect to achieve the steady state in G&A, but again not in 2015. To be clear, we do expect to gain leverage over our operating expenses in 2015 and increase our operating margin, just not at the pace that we would expect after reaching our G&A steady state.

So next, let's look at our investment in R&D. I love Cathy's speech. I mean, our R&D group is awesome. And they drive value in so many ways. Let me go through a couple. First, we operate in regulated markets. And as we talked about many times, we have 14,000 SKUs. Our R&D team is charged with keeping our files current for all of those 14,000 SKUs. This is a major and never-ending undertaking.

Next, our R&D team works to protect, improve and extend the lives of our existing product portfolio by, for example, expanding those label claims, chasing dosage forms, or pursuing approvals in new markets. This work is a significant factor in the long duration of our product assets.

That long duration doesn't just happen. It's a result of the continuing work on the part of our R&D team. Finally, and delivering the fuel that drives our long-term growth are the new product innovations developed by our R&D team. So, let's spend a minute and talk about the productivity of that R&D investment. The takeaway here should be that there's a meaningful chunk of our R&D about 15% that's dedicated to regulatory activities in the maintenance of our existing product portfolio. It's not optional and we're efficient with the dollars that we deploy in order to complete these tasks.

Then, there's the life-cycle-innovation piece, about 45% of the total. These are projects that feature shorter time horizons, lesser project cost, and a higher certainty of completion, and these activities allow us to maintain that long duration of our product assets that I spoke of earlier. Think of this bucket as well I take the maintenance CapEx for our product portfolio. Returns here in the form of sustained and growing revenue streams, I think are unassailable.

Finally, the innovation bucket. This is what provides the long-term revenue lift that enables us to overcome the eventual decline of older products as they near the end of their life cycles. This bucket is about 40% of the total. It is the portion where we need to be extra vigilant to be sure that we earn the appropriate returns on this activity. These projects generally have longer time lines, higher cost, and higher risk of success, but greater returns.

Our track record of bringing truly innovative products to address unmet market needs, suggest these are dollars well spent. APOQUEL, CONVENIA, DRAXXIN and Improvac are just a few of these innovative products. Over the five years ending in 2013, we obtained more than 600 new product approvals. The pace may vary in any given year, but I think this is an excellent indication of the productivity of our R&D group.

Now, I have a lot of favorite subject, and tax is one of them. At the time we spun out from Pfizer, we were able to put in place what I would call a best-in-class operating model, and that enabled us to drive our effective tax rate down from about a 40% rate and that's on a carve-out basis to approximately 29%.

I describe the structure as one that's kind of tried and true. It doesn't present any undue risk, and it provides us with the opportunity to consider strategies to further reduce our rate in the future. But as you think about our rate today, you shouldn't expect anything dramatic in the future.

We'll do what we can to reduce the rate, but it will be evolutionary, not revolutionary. But while I'm on the topic of taxes, we get the question all the time, why is your tax rate so high? Well, this began [indiscernible] (02:23:44) the vast majority of our intellectual property, most of which was self-developed, is here in the United States. We are having little or no tax basis. And we generate roughly half of our taxable income in the U.S. where our marginal rate is 38.4%.

Even if we were able to invert or were required by a foreign company, a non-U.S. company, the opportunity to reduce the tax rates of this entity might be approximately 600 basis points. And that would be derived mainly from additional debt under today's U.S. tax law. And even that might be optimistic in light of the discussions around lowering the U.S. debt limits.

Now, many of you know me, or some of you know me, from my days at Warner Chilcott, where we enjoyed a 10% cash tax rate. When I joined Zoetis, I of course spent time looking at the tax structure and things that we could do, and I consulted with my – what I call my usual cadre of world-class tax advisers. I wish the answer were different, but the answer is this; we can drive our rate down modestly over time.

Now, let's turn to the balance sheet, specifically in the components of net assets. Starting at the top, at the end of Q3, we had roughly \$600 million of cash on hand. Cash is a non-productive asset. We need some level of – minimum level of cash on hand to run our business, but we have no interest in building cash.

Next, accounts receivable. At the end of the third quarter, we had approximately 79 days sales on hand in accounts receivable. Now, when looking at receivables, you need to bear in mind that in the U.S., our DSOs are in a range that you would expect, while DSOs in emerging markets are considerably higher. As we grow in emerging markets and we do expect to grow in those markets, the shift in mix could cause our investment receivables to grow. The extent we grow faster in developed markets, perhaps with APOQUEL in the United States, that could help drive down our DSOs and receivables.

Moving to inventories. We are currently carrying high levels of inventory to ensure a high service level to our customers, while we implement our new global ERP system, which is SAP. As we rollout the implementation of SAP, the improved real-time visibility into our supply chain will enable us to reduce our investments and inventory.

In plant, property and equipment, in the near-term, capital expenditures will likely exceed the level of depreciation as we continue to invest in our ERP system and IT infrastructure, as well as investments related to the simplification of our manufacturing network. Over time, our capital expenditures will drift back down towards our depreciation level.

We also have approximately \$1.7 billion of intangible assets on our book related to the acquisition of businesses and products. This investment will obviously decline as we amortize certain of those intangibles through our P&L. It will increase to the extent we make acquisitions as we announced yesterday with the Abbott deal.

On the liability side of the equation, we have roughly \$1.5 billion in liabilities excluding our debt. Within that, accounts payable stood at approximately 54 days at the end of Q3. So you take all that together, what you see is that we have a net asset base of about \$5 billion. We have the opportunity to limit or reduce our investment in net assets by more effective management of our inventories once SAP is up and running and by limiting the amount of cash held by completing share repurchases.

As we grow, our net asset base should grow only modestly, mainly the incremental investment in [indiscernible] (02:27:31) capital required to support revenue growth, which leads me to a slide where you can think about our return on net assets today and in the future.

This is what I think of as the Zoetis value cascade. It starts with the market growth in the mid-single digits. It gets better with our expectation that we can grow at or faster than that market. It gets better still at the adjusted EBIT line with margin expansion that we can deliver through gross margin improvements, by gaining additional leverage over our sales and marketing cost and investments in R&D. And after 2015, getting leverage over our G&A costs. We have the ability to take our adjusted EBIT margins up from the mid-20%'s today to 30% over time or that's over 30% over time.

Here is a very powerful factoid for you. In a period from 2010 to 2014 – I'm using for 2014, the midpoint of our guidance for 2014, Juan Ramón and the team grew revenue at an average annual rate of 6%. During that same period, our operating expenses – that's all operating expenses – SG&A plus R&D grew at a compound annual growth rate of 1%.

In real-terms, take inflation out of the mix and including the increased G&A that we had to incur in 2013 is included in our guidance for 2014. We actually have systematically reduced our operating expenses over that time period. So then, as you put down to the next line, the growth that we expect is even better still below the adjusted EBIT line at the adjusted net income line.

So you take all of those things together, what you have is a company that can grow adjusted net income, on an operational basis, into double digits over the long haul. And that growth will be driven, from a net asset base, they will grow only modestly and that's mainly due to increased investment in working capital to support revenue growth. So, by definition, a company that expects to deliver consistent improvement in our return on net assets. We're currently generating return on net assets in the high teens, and we expect it to improve. For me, this is pretty exciting stuff.

This brings me to another of my favorite topics, allocation of capital. Within our business, we can generate high returns on capital by investing in and tightly managing our operating expenses. We accomplished this allocation of resources through our annual planning process. And I want to report to you it's a rigorous process, and I believe the process results in us deploying resources responsibly within the business.

As we generate free cash flow, we have two places where we can deploy that cash, do acquisitions or back to you, our shareholders. We expect to make acquisitions, but to be clear, these acquisitions need to be in areas that are complementary to our existing businesses and feature returns that are satisfactory to justify the outlay of our capital. Anyone can complete an accretive deal. We want to do value-generative deals.

In the absence of quality investment opportunities, we expect and intend to return capital to you. We'll do that through our regular dividend, which is a commitment; and starting in 2015, we'll do it in a flexible way through ongoing share repurchases. As I said before, this not only helps improve our return on net assets but also helps us improve our expected growth on adjusted net income per share. That's a winner. While our initial share repurchase program of \$500 million is modest relative to our capitalization, I hope you view that program as an

affirmation of our commitment to be responsible stewards of your capital. It's a nice, flexible complement to our existing regular dividend.

Now, overlaying our decisions around allocation of capital is the management of our capital structure. We like debt. And there's a permanent role for debt in our capitalization structure. Our stated leverage target today is 2.5 times trailing 12 months EBITDA.

I want to note that 2.5 times is a target. For the right situation, we'd lever up beyond the target and then be committed to bringing our leverage back down towards the target. I think of the target as more of a floor. We're evaluating our target leverage ratio, but at this time, we're sticking with the 2.5 times target. So here we are with the – this was supposed to be the payoff pitch. Yeah. But before I dive in, yeah, let me just note that what we're showing today does not include any impact from the just announced acquisition from Abbott.

But let me start with the headlines for 2015. Revenue to grow operationally between 6.5% and 8.5% with adjusted net income per share growing operationally 12% to 16%. Very important, based on recent FX rates, we would expect reported revenue growth to be in the range of 3% to 5% and adjusted net income growth of 7% to 11%, again, on a reported basis. In dollar terms, this reflects a negative impact of approximately \$160 million on revenue growth and approximately \$0.08 per share on adjusted EPS due to the changes in FX rates.

Going back to my FX comments, we can't control or offset the impact of changes in FX rates. We focus on delivering operational results in our key metrics of revenue and adjusted net income. And based on that, we think of 2015 as a good strong year.

Going down a little bit, we're looking for revenue in the range of \$4.85 billion to \$4.95 billion and adjusted earnings per share in the range of \$1.61 per share to \$1.68 per share. Relative to the consensus estimates for 2015, FX accounts for the majority of the variance, in my opinion. I won't step down the entire table, but I do want to spend a minute on SG&A. Adjusted SG&A expenses are expected to be in the range of \$1.47 billion to \$1.52 billion which is up roughly 5% on an operational basis over our 2014 guidance range.

Note that this reflects continued expense control in the commercial regions where they would grow at or less than the inflation rate while growing the top line and expanding the operating margins in the regions. Now some of that benefit will be offset by increased G&A cost as we continue to build out the infrastructure needed to run this global business. We expect to reach a normalized level of G&A spending by end of 2015. So, from that point on, we expect to gain leverage over all of our operating costs.

One other item of note, we expect our certain significant items [ph] is a (2:34:25) one-time cost that we exclude from adjusted net income will be in the range of \$130 million to \$150 million on a pre-tax basis. This is higher than what most of you were expecting, and that's mainly due to revised estimates of the cost associated with the completion of our global ERP implementation.

As you look at our guidance for the full year 2015, even though we don't guide the quarters, I want to help you think about the phasing of our revenue, cost of goods sold and operating expenses and how that might unfold relative to 2014.

First, let's start with revenue. We expect to have a significantly improved supply of APOQUEL beginning in the second quarter. And APOQUEL is one of our key growth drivers for 2015. So it would stand the reason that our growth should accelerate beginning in Q2 and through the latter part of the year.

On cost of goods sold, in 2014, our cost of goods sold as a percent of revenue was lower early in the year, particularly in Q1, as the ramp-up of our centralized HQ manufacturing cost only started to flow through cost of goods sold in the third quarter. We talked about that on our third quarter call.

This will lead to cost of goods sold growing at a faster pace than revenue in the first half of 2015 compared to 2014. So as you think about 2015 early in the year, gross margin will start lower and improve over the year based on a number of factors. Then looking at SG&A expenses, our first quarter of 2014 was a very light expense quarter. So SG&A growth early in 2015 will be higher due to comparisons back to the light Q1 of 2014. All those factors combined to suggest that in 2015, adjusted net income will start lower and build as the year goes on, peaking in Q4. I hope that helps. As with any forward-looking view, there are a number of potential factors that could influence our ability to achieve this full-year guidance including shifts in foreign exchange, unexpected climate or weather changes that affect livestock, herds or the emergence of new infectious diseases with a broad impact.

Now, as you move past 2015, we expect to see revenue growth on an operational basis in the range of 5% to 7% in both 2016 and 2017. Importantly, this view does not include the potential for successful outcomes from many of our ongoing R&D programs. Combined with the leverage we expect to gain overall operating expenses by holding annual growth to the inflation rate or less and realizing [indiscernible] (2:36:56) improvements in gross profit margins, we forecast that we can generate growth of adjusted net income on an operational basis in 2016 and 2017 in the range of 11% to 16%. Importantly, we expect to do that off an asset base that will grow only modestly, so with continual improvement in our return on net assets.

In closing, we participate in a market that presents steady growth over time with low variability. The enduring factors supporting our growth combined with our ability to create and nurture long-term revenue streams gives us an excellent line of sight and helps us understand today the investments we need to make to deliver on our goals for the future. We're confident based on our industry, our set of competitive advantages, and our ability to meaningfully improve margins that we can deliver growing adjusted net income and returns on net assets over both the near and the long term.

And with that, I will turn the podium back to Juan Ramón for some closing remarks before we move to Q&A.

Juan Ramón Alaix

Chief Executive Officer & Director

Thank you, Paul. So the world will depend and is depending on animals, and this dependency will be even higher in the future. Our customers, they will need the tools and the technology to keep animals healthy and productive in livestock, and healthier, and live longer in companion animals.

The industry will be able to provide the tools to increase the productivity, at the same time, also to keep the animals in companion animal healthier. But we are convinced that Zoetis, we have a unique position to capitalize all the opportunities of the animal health industry. We have the global presence, we have the scale, we have the capabilities, we have the relations with our customers, we have a portfolio which is unique in the industry, and also very important, we have a singular focus. And I had the opportunity to meet one important customer in Denver, Colorado, it was one month ago. He was explaining that [indiscernible] (2:39:27) of the separation from Pfizer, he was skeptical about the benefits for him of not being a part of Pfizer and being an independent company. After 18 months of experiencing the new way that we are supporting our customers and we are generating value to them, he came back to us saying that I see the difference of the singular focus of the entire organization of Zoetis, bringing value to me, and we are convinced that we'll be an important element also to support the value that we want also to deliver to you.

As Paul described, we have a clear objective for 2015, 2016 and 2017. I believe that 2015 will be one of those years in where we'll be growing faster than the market, not only in line with the market. We are convinced that with APOQUEL and the rest of the portfolio and the rest of the capabilities that Zoetis has, we'll be able to generate this 6.5% to 8.5% revenue growth. We'll be delivering significant improvement also in margins. We plan to have an adjusted net income of 12% to 16%, and we'll continue also in 2016 and 2017 delivering very strong results.

We'll remain also focus on identifying additional opportunities. We are not just stopping ways of creating more value; it is something that will be an objective for the entire team of Zoetis, how we can be more efficient, how we can deliver more with less resources. The same that the world need to feed the population will be also applicable to our model trying to generate more with less. We'll continue targeting opportunities in terms of business development opportunities also to invest in our competitive advantage.

We announced the acquisition of Abbott. Abbott has many elements that are meeting the criteria of good investment for Zoetis. Maybe I didn't mention one is also very important is not having any plan to produce the revenues that will be coming out of Abbott Animal Health. So it's really an excellent fit to our portfolio, and definitely we'll be returning the capital to our shareholders in a way that we'll be meeting your expectations.

And with that, I'd like to close this session. Thank you very much for your patient and attention to our presentations. And we have now time for Q&A.

QUESTION AND ANSWER SECTION

John O'Connor
Investor Relations Officer

A

So as the leadership team gets settled in here, we'll have some microphones that will move around the room. We'll ask that you please wait for the microphone before you ask your question.

[ph] Erin, do we have the microphones ready? (2:43:05).

Jami Rubin
Goldman Sachs & Co.

Q

I got it. I got, right here.

John O'Connor
Investor Relations Officer

A

Upfront.

Jami Rubin
Goldman Sachs & Co.

Q

Okay. Jami Rubin with Goldman Sachs. A question on business development activities, how much of a limiting factor [ph] in BD (2:43:21) is your 22% market share? And if you could talk about – you've been involved in lots of [ph] BD (2:43:27) historically, Fort Dodge, I think, was the last big acquisition you made, just remind us how much you had to sell because of FCC issues and how much of a limiting factor that for you making acquisitions or another animal health company find you? Thanks.

Juan Ramón Alaix
Chief Executive Officer & Director

A

Well, we mentioned that in our guidance for the next year, we are not including significant [ph] BD (2:43:50) acquisitions. So this will be something that will be in line with the small additions to our portfolio. Definitely, if there are opportunities to have acquisitions that are of enough size, this will be added to our revenue growth.

Kristin, you want to add some additional comments?

Kristin C. Peck
Executive Vice President & Group President

A

Sure. If you look across the industry, I think you're referencing, there was a challenge, two of our competitors looking to merge together. So, I mean, currently in the large scale in the top end of it, obviously, there are some challenges with regard to antitrust. But as you look at the medium to smaller parties, you have to go on a product-by-product basis to assess that.

So I don't think previous acquisitions are a great test of what any other specific one would be. But the quick answer is, obviously, any of the major company in the top three obviously there'd be significant antitrust challenges in any of those. But as you look at the medium to smaller players, you have to look deal by deal, at the specific overlap.

Chris Schott
J.P. Morgan Securities LLC

Q

Great. Thanks. Chris Schott at JPMorgan. Two questions. First of all, when I look at the industry growing 5% to 6%, you're targeting 5% to 7%, if you look out to 2016 and 2017. Just given the scale you have, the initiatives that you're targeting, why can't we expect Zoetis to grow significantly faster than the overall industry as we think about that long-term model?

The second question is just about the initiatives that you're undertaking over the next kind of three years to five years. It seems like there's a lot of kind of gradual improvements to margin. Is there anything you can do to accelerate those, whether it's the plant closure, it's the facility optimizations, the leverage on your SG&A? I mean, is there anything you can do just to pull that forward, I guess, as we think about the leverage story here in the next few years? Thanks.

Juan Ramón Alaix
Chief Executive Officer & Director

A

We mentioned that the industry will be growing about 6% in the next 10 years. When we are now describing that in 2015 that we'll be growing 6.5% to 8.5%, so, this, in my opinion, is showing that we are growing – we'll be growing faster than the industry. This will be also with the help of APOQUEL with full potential in 2015. Moving forward in 2016 and 2017, we are saying that 5% to 7% which is in line than what we expect from the market. There are always situations that can drive this 5% to 7% climate change, some additional diseases. So that's why we are providing this range.

This also will be affecting the industry. The industry, we are saying that it will be the average, but maybe the industry will be growing something similar to what we operate in. We still think that we can generate additional growth. The additional growth can be based on the success of our R&D activity. We mentioned that some of the programs that we have in plan has not been fully incorporated in our guidance. So there's still opportunities for generating faster growth and definitely, [ph] BD (2:47:02) also will help to increase our revenue growth.

In terms of why we are not maybe projecting higher gross margin improvement. So what we are showing here is that we'll be, in the next years, generating this 200 basis point of gross margin improvement, and also absorbing the inflation that is affecting a significant part of our cost, including labor, but also including third-party manufacturers that are also, in some cases, affected by inflation, because also they are in locations with the high inflation rates. And this is something that we are assuming that with the efforts, we'll be able really to compensate the inflation and generate this 200 basis point.

We also expect that price will have a positive impact and also we expect that mix can have in some cases positive or negative depending on how the mix will be generated. But definitely, we will continue working to identify additional opportunities. And this is something that we have been working very hard.

You need also to understand that we have been managing a lot of complexity during these 18 months. Separating us from Pfizer is not something that – Pfizer or any other company, something that is complex and managing this complexity and ensuring that we are not missing opportunities in terms of revenues, and in terms of gaining market share and improving our adjusted net income was something that was a significant effort. And we expect now that most of the things are almost completed, and we'll be completing also our ERP implementation in the first quarter of 2016. So the focus of the team on improving our margins will be much higher.

David R. Risinger

Morgan Stanley & Co. LLC

Q

Yes. Dave Risinger from Morgan Stanley. My question is around price, R&D and the shares outstanding. So, with respect to price, livestock farmers have benefited from collapsing commodity costs, in particular, corn prices. So it seemed like it'd be a great time to accelerate price increases and lead the industry, but would love to get your thoughts on that notion.

Second, with respect to R&D, it'd be helpful to better understand how you measure productivity. So, I took some of the numbers in the slides, and one of the slides said that you had launched 180 products in 2013. That obviously represented about 40% of the 443 products that you have in development in another slide, but I don't know if I'm looking at it at the right way or how one should think about R&D productivity and the metrics and the outlook for return on investment in R&D at Zoetis.

And then the third question on the share count is just, Paul, how should we think about forecasting shares outstanding? Is the \$500 million going to be repurchased over a couple of years or how quickly might you move on that? Thank you.

Juan Ramón Alaix

Chief Executive Officer & Director

A

Okay. Let me ask a couple of questions, and then Paul will also cover the third one. In terms of price, we are now applying prices as a base strategical tool. And what we are also incorporating in our model is not just applying prices based on some of opportunistic situation that it's part of the way that we can also apply prices, but also ensure that the prices are supported by clear outcome analysis. So, in our industry, we need to justify that if they pay for a product, they can see the benefit in their P&L. And this is something that we are incorporating in the way that we define our prices. Definitely, if we can demonstrate that using our products, they can have higher benefit or profitability, then we can justify this increase in prices.

Then I will answer probably in a sure way the question on R&D productivity, and I will ask Cathy and Paul to [ph] expand (2:51:52) on how we define productivity in R&D in a single way, and not going into details of all the

analysis that exists in the R&D world. I will describe that for me, we are expanding in R&D as an average, below the industry. And through this investment, we are generating internal growth, higher, or in line or higher than the market is showing that the investment in R&D is productive. But I would like Cathy and Paul to extend on their views about R&D productivity.

Catherine Ann Knupp

Executive VP, President-Research & Development

A

So thanks for the question. I think as you can appreciate, there's a couple of different ways to think about R&D productivity. One is with respect to the numbers themselves. We shared with you a number of products that had been approved, both in terms of calendar year 2013 as well as over the previous five years. You've also had some insight with respect to the number of projects that we're working on, on a global basis. So one measure of productivity is the efficiency with which we can translate those late-stage development activities into registered entities in the various markets. The other way we think about R&D productivity though is with respect to the value that it provides.

So, as Juan Ramón acknowledged, without going into the details of the way in which we create these segmented views, what we're also looking at what is the potential for the delivery of that pipeline over an annualized basis to add to the revenue base of Zoetis. And it's part of the way in which we make our decisions. So you have to think about it not only in terms of the number of outcomes but ultimately seeing that translated into the revenue growth for Zoetis.

Juan Ramón Alaix

Chief Executive Officer & Director

A

And you want to answer the question on...

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Sure. Yeah. David, thanks. Also thanks for the – thank you for the question. It's a good clarifying question. So we've put the program in place effectively. We announced this morning, and we will start using that program in 2015. In our guidance, we've not assumed any activity onto the program, and we would expect to use the program based on the availability of free cash flow to go out in the open market and make purchases.

And so, for now, there is – it's not taken under consideration of the share count for coming up with our guidance. And as we execute against that program, we'll keep the market informed as to what's the level – what level should you expect, et cetera. That decision was taken today.

Juan Ramón Alaix

Chief Executive Officer & Director

A

And maybe Clint you can also explain a little bit on our pricing strategy in the U.S.

Clinton A. Lewis

Executive Vice President & President-US Operations

A

Yeah, to Juan Ramón's point, keep in mind that the strategy or the approach by which we look at pricing is not done in isolation. I mean clearly, the strategies that are being employed across each of the regions in the U.S. different is to leverage the differentiation of the products, leverage the differentiation of the field force, and then leverage the differentiation of how we connect those products and programs vis-à-vis the portfolio. I'd say they don't operate in isolation because on the periphery of all of those elements, you have increasing numbers of

generics that come to the market with the primary lever being price. You also have branded competitors that may not necessarily have the technical attributes of the product or the other capabilities that we bring with our field force portfolio of programs that are oftentimes in the face of competing against Zoetis has to take price.

Even with that, I think we've shown in the U.S. a continuous, deliberate way to lead in price. It is done with a tremendous understanding of what the sensitivity across these products are, but also the recognition, as to Juan Ramón's point, that our customers whether it'd be veterinarians or producers are making decisions on the clinical and the economic outcome of these products, and so our ability to demonstrate that with tools and programs are giving us the right to earn that price. And so, historically, you've seen price increases on average around 3%, and we do believe given these conditions you'll see us increasing that rate of price increase as we go into 2015 given the dynamics that you always spoke about this playing out in the marketplace.

Alex Arfaei

BMO Capital Markets (United States)

Q

Great. Thank you. Alex Arfaei, BMO Capital Markets. Paul, can your intellectual property be relocated to a lower tax jurisdiction if you were to be acquired by a foreign company? And my follow-up is, could you give us an update about the risk associated with use of antibiotics in livestock feed? That used to be a hard topic last year. We know there was some regulatory pushback. Can you talk about the potential top-line and bottom-line impact for that particular part of the business? Thank you.

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Sure. I'll take the IP question, obviously. The reason I brought it up in my prepared remarks is IP is very valuable, especially self-developed IP. By definition, you have incurred the cost and expensed it through your P&L has no basis. And so, to the extent that that grows to be a valuable asset and you want to move it, there will be a lot of tax leakage on the play.

One of the Treasury's favorite things to go after is the transfer of intellectual property. Back in the day, I hate that I'm old enough to say that now. But back in the day, it used to be that if you've got two contemporaneous valuations of an asset, you were ironclad and you could move it wherever you wanted to move it. That's not the world in which we live today. My past experience in Chilcott, we tried to move one asset, and we fought with the Treasury forever, and we ended up paying – making a big tax payment in order to be able to move that asset.

If we'd known what the ultimate outcome would have been, we probably would not have done it because it was non-economic. So I can't speak to exactly what a potential acquirer might be able to do with our assets. But I know that if we try to move it offshore, there would be a lot of tax leakage on the play that's why I brought it up.

Juan Ramón Alaix

Chief Executive Officer & Director

A

So the impact on antibiotics and I will have a short comment, and then I will ask Clint and also Cathy to provide insights of their views about the impact of the situation of antibiotics in different parts of the world. So we say that the external sources are projecting that the animal health would be growing about 5% to 6%, and they are also projecting that antibiotics will be growing by 2% to 3%, so significantly lower growth in antibiotics compared to the rest of the portfolio.

We have in our total revenues as we have been showing on the slides today, 29% of our revenues on antibiotics. And these antibiotics not are always livestock, they are livestock, companion animal with different dynamics in terms of maybe the focus of some of the regulatory authorities. And we have been working since very many years

to rebalance our portfolio and having a portfolio that is much less dependent on antibiotics and more on vaccines. And we have been successful in moving this portfolio over time, and we are convinced that this will be also the case in the future. And then maybe, Clint, describing that, what is the situation in the U.S., and Cathy providing the scientific view of antibiotics, the use of antibiotics in livestock and companion animal.

Clinton A. Lewis*Executive Vice President & President-US Operations*

A

Thank you, Juan Ramón. Thanks for the question. So in addition to having the privilege of wearing the hat as the U.S. President, I always wear the hat of the immediate past Chair of AHI, the Animal Health Institute which is the U.S. trade association for research-based animal health companies, and I also was the Chair at the time we were working alongside of the FDA in putting together a policy that in essence was data- and science-based but also protected the appropriate use of these products and also elevated the role of the veterinarian in making sure that under their supervision, the direction of when, where and how these products were being used. I think the landscape in the U.S. now and for the foreseeable future, I think there's a tremendous freedom to operate first and foremost for our customers but also for animal health manufacturers like Zoetis.

Again, to provide context, the focus in the U.S. around the use of antibiotics in feeds has been focused, one, in those areas where they're being used just for growth, growth [indiscernible] (3:01:03) and secondarily, for those antibiotics that are deemed critical for human use. When you look at that and then examine that relative to Zoetis' portfolio, it's a very small percentage of our portfolio.

In addition, again we've worked hand in hand with the regulatory authorities to put in place a phase-out for these products, but in so doing also protecting the use for – the use of these products to treat sick animals or when the veterinarian believes there is the opportunity for an infection to occur within a herd. And so, I think we're in a very good place. And again, I recognize [ph] CDM's (3:01:41) efforts in that regard. Cathy?

Catherine Ann Knupp*Executive VP, President-Research & Development*

A

So, as Clint elaborated quite a bit of the emphasis within the United States has been on the use of antibiotics in the feed for the regulation promotion of growth. So that's something that we're committed to move away from. As Clint has acknowledged, we've partnered closely with the FDA in order to be able to demonstrate our commitment and support for that program.

But we also want to ensure that subsequent decisions around the effective, safe, and responsible use of antibiotics in animals are taken on the basis of facts, and those facts still have to be generated. There's quite a bit of information and misinformation that is not balanced with respect to its perspective on what are all of the contributing factors and how do they play against each other in the development of resistance which is of course the predominant concern around the utilization of antibiotics in livestock.

So we're going to stay on that path, working with the health authorities globally to make sure that the decisions around the responsible use of livestock – antibiotics, particularly for the treatment, the control of disease are fact-based, grounded in science, and continue to reflect our belief that there is a role, there will continue to be a role in the use of antibiotics in animals. It's an animal welfare matter. We have an obligation to treat.

Juan Ramón Alaix*Chief Executive Officer & Director*

A

Europe has been probably the region with the highest focus on the reduction of antibiotics. In 2013, the antibiotic market in Europe declined by 7%, while our portfolio in the same region declined only by 2%. This is indicating

that the products that we are offering to our veterinarians, to our customers, to the producers are really differentiated and adding more efficacy and safety to prevent or treat sick animals, which is also the way that we are protecting our revenues.

John O'Connor

Investor Relations Officer

A

Erin?

Erin E. Wilson

Bank of America Merrill Lynch

Q

Great. Can you comment on the M&A pipeline, what exactly you're targeting, what are the key thresholds? And what do you expect to spend on an annual basis in the way of acquisitions? What – also if you could comment on what Abbott will contribute in the [indiscernible] (03:04:21) partnership that you recently announced as well?

My second question would be on the companion animal parasiticides market. It's large but competitive. And how are you positioning your new oral product? And if I heard that right, it's not embedded in your 2016-2017 guidance.

Juan Ramón Alaix

Chief Executive Officer & Director

A

Okay. So, Kristin, do you want to answer the first question about Abbott or...

Kristin C. Peck

Executive Vice President & Group President

A

Yeah, I can take the M&A and the Abbott question. With regards to Abbott, as they've publicly said, it's about \$80 million in sales today, and then depending on when that closes next year, we'll be able to update guidance, and Paul will do that with a better sense of when we get access to the assets. We do expect that within Q1 of 2015. And that is, as you're probably right, about 75% of that deal is in the United States where we really think it's a great complementary asset. It is exactly back to the strategy that Juan Ramón talked about that we're focused on animal. We're focused on its complementary assets and portfolio, and that can be either therapeutically or by geography across the globe.

So we don't provide the budget for M&A publicly, so sorry about that. But in terms of the focus areas, it's very much what Juan Ramón was talking about. We also really focus on some of the complementary businesses such as diagnostics and places where we really think we can leverage our scale and scope.

We think that is what really makes us unique if we can take assets like the Abbott Animal Health business with very little infrastructure and really just take those revenues and put it through ours. And I think that is what makes us unique at Zoetis our ability to do that and actually help really drive some of those synergies.

Juan Ramón Alaix

Chief Executive Officer & Director

A

And then, Cathy?

Catherine Ann Knupp

Executive VP, President-Research & Development

A

So you're asking about [ph] fluralaner (3:06:12) which is the new active ingredient in an oral flea and tick product for dogs. So we appreciate it is a competitive marketplace but clearly one that's very attractive in terms of its sheer size. Clint can speak to how we envision working in that competitive space. From a profile perspective, recall what I said, as we look at the opportunity, we create a profile. And then that profile, we're able to define what is the nature of the claims that we would be seeking, and that is then a theme that plays out throughout the lifecycle of the creation of that new product, as well as beyond that initial registration. So we're very mindful of the nature of the environment. We're attuned to what the customers are going to be looking for. And we're confident that we've put together a development program that will meet the needs of those customers.

Clinton A. Lewis*Executive Vice President & President-US Operations*

A

I will speak on the label of the product until such time it's approved and registered. But I think when that product is approved, I think it yet again reinforces and highlights the capabilities that Zoetis brings. As you heard from Juan Ramón, you heard from Paul, today, we have the infrastructure in all of our markets to best bring these products to our customers, to be able to differentiate those products based on the label with our customers and to leverage the rest of the portfolio, and our programs to make a difference.

I spoke about the use of distribution and specifically in the U.S. Again, we enjoy great relationships and have tremendous respect for them. But at the same time, we have to understand that we are less dependent on third-party distribution than many of our peers that rely on them for additional reach and commercial activities.

And so, again you can imagine [indiscernible] (3:08:12) or any product for that matter, the efficiency that we get by bringing that in to our existing infrastructure and leveraging it against the rest of our portfolio programs and capabilities, gives Zoetis, regardless of whether we're first or second or third to market, a tremendous competitive advantage both in terms of driving revenue, but also doing in the most efficient and profitable ways.

Juan Ramón Alaix*Chief Executive Officer & Director*

A

The companion animal that we explained today, it represent 40% of this \$23 billion, which is about \$9 billion market, and one-third of this market in companion animal is related to parasiticides. So even on a market that will be crowded, still the opportunity to generate significant revenues will exist even for – probably that we'll come third into the market.

Paul S. Herendeen*Executive Vice President and Chief Financial Officer*

A

If we go up, I just want to address the question about whether or not it's in the guidance. It is not. It falls that below that – I'm the new guy, so the acronyms don't stick with me. P-T-R-S falls below our PTRS threshold which is...

Kristin C. Peck*Executive Vice President & Group President*

A

The probability of technical and regulatory success.

Paul S. Herendeen*Executive Vice President and Chief Financial Officer*

A

There you go. I'm learning the acronyms. But it falls below or it fell below the time we rolled up our 2016 and 2017 plans, and so it's not included. I can't resist, though, even though Clint covered this that he love it when the

finance guys talk about marketing because I think about the prospects of the products that if we were a third-tier player, it didn't have that excellence out there in the field force, then you'd say, all right, I'm not number one, I'm not number two. Okay, what are you going to do? We're number one. So that's what – that's where I think about prospects there.

John C. Kreger

William Blair & Co. LLC

Q

It's John Kreger from William Blair. Cathy, if you can just expand a little bit more on your R&D pipeline comments, realizing the opportunity to launch any given product across a lot of different geographies, but if you could boil it down to new chemical entities or new biologics, what sort of a goal should we expect over, let's say, the next three years in terms of new agents like that to be launched? And then the second question, unrelated, can you give us a sense about what your broader generic strategy is? Should we think about that as an authorized generic strategy or a little bit more competitive? How quickly is that portfolio growing? Thanks.

Catherine Ann Knupp

Executive VP, President-Research & Development

A

So let me reiterate some observations around the nature of the portfolio. So it's a very diverse portfolio. And when we think about where are the opportunities in the portfolio, they'd roughly fall into three types of product categories, so the vaccines, the small molecules and the large molecules, so, the proteins, the peptides, and the monoclonal antibodies.

Those are accessible, as accessible to us and animal health in terms of options and opportunities as they are in human health. And as I've said, the creation of the portfolio has to always be with the customer in mind. Will it be valuable enough to that customer, delivered at an effective cost in order for them to actually embrace, particularly new technology. So we have that diversity of approach in terms of the platforms for new products, and then when you look at that multiplied through the species opportunities, the multiple therapeutic areas that we have and then ultimately, at the regional level.

So, Stefan gave a great example of the registration of Rui Lan An. That's a product that we could not have developed outside of China. By regulation it had to be done in China. So we're looking at all those different components in creating that rank ordered perspective of the portfolio literally from top to bottom on an annual basis and as we go through stage gates, is this still worth doing?

But the real message is we have that diversity of not only expertise, knowledge, outreach in terms of our collaborations, excellence in manufacturing and the ability of the commercial organization to translate those new products from a technical perspective back into value for the customer. So we've got lots of different things that we can pursue. We're going to continue to make disciplined choices, however. I'll make one observation with respect to your generics question, and then ask Juan Ramón or Clint for their insights.

So when we think about a generic opportunity from an R&D perspective, we really have to, again, remain focused on what is it the customer is expecting, and particularly in animal health where many of these products that we would be seeking to consider a generic alternative for, they also have a long lifecycle. They also have a lot of customer allegiance and confidence in terms of how they've been used. So if we're going to embark upon a generic program utilizing our R&D resources, we need to match the look and feel of the innovator. We have to create that confidence in the customers' mind that by making the change, they're going to continue to get the value from the product that they've come to expect. And I think that actually is an aspect of differentiation for animal health. Look and feel of the innovator, that's really important in the way we think about generic offerings.

Juan Ramón Alaix
Chief Executive Officer & Director

A

So we have a portfolio that 80% is not patent protected. So, and this is not something that is happening today. It's part of the model that we have been living since [ph] 20 (3:14:10) years. So we have learned how to differentiate our products even if there was not exclusivity supporting our portfolio. We understand the generic pressure. It's increasing in some regions like Europe. This has increased significantly in the last years. But also, I'd like to put into perspective what is the generic opportunity or what is the impact that generic can have in our business.

So, first, because of the little infrastructure to reach our customers. Second, because of the lack of economies of scale, the price difference between the regional and the generic, it's about 30% to 40%. So it's not like in human health that prices can drop dramatically by 80% or 90% per year of generic impact.

So we will see an impact in our revenues for some of the products affected by generics of 20% to 40% over time. But this is something that – it will take several years to reach this level. So we are convinced that because we have the breadth of very complete portfolio. We can also use this portfolio for commercial impact with our customers, and this is something that has been a significant protection, the loyalty of our customers, and also the opportunity to offer a complete set of products and services to our customers. These are ways that we are protecting our revenues.

Clint, maybe you can describe how are you managing generic competition in the U.S. and the impact that you have in the U.S. business.

Clinton A. Lewis
Executive Vice President & President-US Operations

A

I think it's been [ph] set right (3:15:59) so we can either look at generics as a threat when our products lose exclusivity, and another competitor brings a generic analog of one of our products. And clearly, you can use the U.S. and most specifically recent generics of our pain medicine, Rimadyl. I mean, here is a tangible example where again I'm not going to comment on the strategy of the generic manufacturer, but I think our ability to insulate ourselves for any significant erosion in that, again it speaks to the capabilities that you heard from myself and my peers. We have not only the access, we have the relationship with our customers.

We have the breadth of programs and other services that if you're an individual veterinarian, you're an individual livestock producer, you're going to step back. You're going to recognize the total aggregated basket of value that you'd get by working with Zoetis, and you're not necessarily going to be a shortsighted just to change or make a swap out because somebody may offer you X percent of discount.

The second [ph] why I'd ask (3:17:09) you to look at generics is similar to what Cathy talked about is where it complements our already best-in-class portfolio. And so, in many cases, whether it's on companion animal or whether it's in livestock, the ability to be as close to a one-stop shop for our customers to help them to meet all or most of the needs that they have. And so, in many cases, generics then become a complementary to the rest of the portfolio.

Robert M. Willoughby
Bank of America Merrill Lynch

Q

Robert Willoughby at Bank of America. Can I get two quick ones then maybe a philosophical one? Just, Paul, what is the inventory day outstanding target post the ERP implementation? And then can you speak to your CapEx goals and how they may trend over the long term?

And then just lastly, given the revenue and cost opportunities, your comment of a 30%-plus kind of margin business isn't terribly bold. Are we overvaluing you at the 33% margin assumption or are we undervaluing you at the 35% margin? Can you give us any sense where the margin may ultimately settle out?

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Yeah. I'll start with the target for inventories. It may not be as low as you are thinking. In order to maintain high service levels, that number could be in the range of seven months to eight months from where it stands currently which is well above that. There are a lot of dynamics that go into that. It's not a straightforward exercise with a small number of distributors like you have in the human pharma model. And so, that's a good target. And again, our ability to manage towards that target is reliant upon us getting up and running on SAP and being able to have better visibility in our supply lines. I'm sorry, your second piece was?

Robert M. Willoughby

Bank of America Merrill Lynch

Q

CapEx trends.

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Oh, the CapEx trends. Yes. I said in my remarks, early on, we do have – we're continuing to invest in that ERP system, and a fair chunk of that which is capitalized, and so that's part of our CapEx as well as standing up the IT infrastructure. That's the non – I think it was the non-ERP, the normal stuff that we all have in our offices that lets us do business. And then finally, the piece around our plants. As I said, it's likely to be above – there are depreciation rates here in the next several years, but would trend back down towards a point, that wonderful point where depreciation would probably with CapEx say three years out.

Kristin C. Peck

Executive Vice President & Group President

A

And I might comment a little bit on some of the drivers of the inventory as to, in animal health specifically. In human health, I think you find a lot of products are global. And so, you manufacture it [ph] once, and then (3:19:52) you may package it differently globally. It is quite different in animal health. It's very seasonal for a large number of our products. And the specific strains are actually quite different. And oftentimes depending on the market or the strain, you're making once a year for that product. And so, your inventories quarter-to-quarter, month-to-month can vary a lot more than sometimes you'll see in other industries just because, although we do have global products, a large number of our products can be country-specific or region-specific and extremely seasonal. So in order to efficiently make it, we make it in one batch, and so sometimes you'll see higher inventories. But we are trending to exactly where Paul said that I'm trying to help you understand the drivers behind that.

Robert M. Willoughby

Bank of America Merrill Lynch

Q

[inaudible] (3:20:31) margin target longer term?

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Gross margin?

Robert M. Willoughby
Bank of America Merrill Lynch

Q

Yes. I think you said 30%-plus operating margin target reasonable [indiscernible] (3:20:42) probably say more on that front?

Paul S. Herendeen
Executive Vice President and Chief Financial Officer

A

Well, what I think I said was that we're currently in the mid-20%s, and we're trending towards 30%-plus. I'd expect that to continue. I mean one of the key points I hope that was delivered today is the ability to leverage our existing level of committed resources for selling, marketing and the like, and our investment in R&D to the extent that we continue to grow that growth alone in excess of the rate of growth of those expenses. We continue to see that margin expand. That's an important piece.

And I want to say, I mean, even though we talked about holding a line on those cost buckets at or below inflation, we of course can do better. I came from a company where we had operating margins approaching and sometimes over 60%, very unusual situation. We're really proud of that.

So, as a company, we understand productive investment in cost and in non-productive. And to the extent that we can identify areas in our operating expense where we can be more aggressive and more of a step function to improve that margin, we certainly would. But here's the challenge. The biggest value in my opinion of our company is that body of assets that we predict will grow modestly or better than modestly over the long haul and to the extent that you stop promoting or you under promote or you don't maintain, you don't invest in that maintenance CapEx of the portfolio, you will affect that long-term growth rate of that collection of assets that is a whole bunch of the value of our company.

So as we look at ways to improve that margin from where we are today, and from where we will get by being – continuing to be very tight with the money that we're deploying into those expenses. We need to do that in a thoughtful way so that we don't affect that big lump of value called our portfolio that grows faster than the market, and frankly, faster than the market with a long duration. Think of that value. We don't want to hurt that. And so, we're going to be thoughtful about ways that we do that.

David Krempa
Morningstar Research

Q

David Krempa with Morningstar. First question, can you talk about why the Asia Pacific sales force is by far the largest, even though that's the smallest revenue segment geographically? Is that just the lack of distributors or if there's a unique dynamic there? And secondly for Paul, back when you were at Warner, one of our favorite tactics seemed to be leveraging up to pay a special dividend. Is that something you are considering or is that already off the table?

Juan Ramón Alaix
Chief Executive Officer & Director

A

Okay. Help me on this.

Paul S. Herendeen
Executive Vice President and Chief Financial Officer

A

The first question was around the size of the field force in APAC given its relative revenue size.

Juan Ramón Alaix
Chief Executive Officer & Director

A

Yeah. The size of the field force in Asia is very large. We also need to understand that the cost of the field force in Asia is very different than the cost of the field force in the U.S. The biggest part of our field force in Asia is based in India and China. And if you have maybe the picture of a rep in the U.S. driving a car and having a lot of tools to do the business, you need to understand that in India, rather than riding a car, they are in a motorbike. So the cost of these 800 people that we have in Asia is much lower. And also, the problem is that still in these markets, we expect a significant consolidation. Still, there is a lot of diversification in terms of our customers. So we need to reach these customers, and it's probably more labor needed than in some more developed markets. But we are convinced that they are productive, so the investment is productive, and also very important, so we are already setting the relations with the customers that will allow us to introduce new products in the future. And the other question?

Paul S. Herendeen
Executive Vice President and Chief Financial Officer

A

Yeah. I'll take the other question, the question around special dividend. What I articulated was we like debt as a company. We have a target of 2.5 times trailing EBITDA. I express that I would think of that more as a floor than a ceiling. We would certainly lever up in order to go out and pursue what I would call value generative acquisition opportunities to the extent that I would consider using debt to transact with shareholders i.e., special dividend or share repurchase.

I think I'd be a little more cautious about my – what my overall leverage ratio, when I say my, our overall leverage ratio. However, it's a lever. It's a lever to pull to deliver value to shareholders. If we, the management team, went to our board and suggest it, I'm sure we could debate it.

Kevin K. Ellich
Piper Jaffray & Co (Broker)

Q

Kevin Ellich, Piper Jaffray. Could you talk about your opportunity with vaccines. I think you gave a good example in the [indiscernible] (3:26:07) presentation about Poulvac E. coli how that was only treatable with antibiotics before. Just wondering how big vaccines could get over time. And then obviously you guys are a very customer-focused organization and kind of a broad question wondering what customers are asking for now. I guess thinking about over the next few years, what are some of the biggest unmet needs that you would look at? Thanks.

Juan Ramón Alaix
Chief Executive Officer & Director

A

Yeah, let me take the first question, and maybe Clint and Cathy can describe what will be the unmet needs that we can anticipate for the next year. So, definitely, vaccines, it's an area of focus for Zoetis. So we identified now five years ago that we needed to improve our attention and also productivity in terms of vaccines. Maybe at that time, we were not leading the industry in terms of the vaccines that we were delivering that to the market. We had a plan, and this plan now, it's showing that Zoetis is leading in the vaccine, and we have multiple examples of how best-in-class we are in terms of vaccines.

We have not only the recent PEDv vaccine in where we were able to bring to the market a need for the swine industry. Also, before, we were first and fast to the market with a vaccine that was launched for the swine fever vaccine or flu vaccine. In the U.S., we have now launched combination of vaccines that also extremely well accepted by the market. So we are now a best-in-class organization in terms of vaccines, and not only in vaccines

but also biopharmaceutical. Biopharmaceutical is also another part of the capability that this company has. And you can maybe cover what we expect that will be the future needs of our customers in our industry.

Catherine Ann Knupp

Executive VP, President-Research & Development

A

So, first let me say, he's being kind when he relates the description of what it was like to live in an area where we were not very good at vaccines. I remember those conversations very well. And it's the consequence that it really builds on points that Juan Ramón and Paul have made. It's a consequence of choice. So if you choose not to participate in a segment of this market. And let's look at swine vaccines for example. For several years, we were locked out of the two of the three core antigens that represent the majority of the need as well as the revenue in the swine segment. Through the integration with Fort Dodge, that gave us access to one of those two key antigens. We had already had a program well advanced to address the need for the other missing one, and we already had the market leader with respect to a vaccine for the third key antigen.

So by a very disciplined focus on execution, not only to close those gaps, create those first market entries, but as I said, we have a very disciplined approach to lifecycle management, and that's absolutely essential in vaccines. So you're only as good as your most recent update to your vaccine, whether it's with respect to an antigen shift, a claim, a duration of immunity, there's any number of factors that create that differentiation.

So we talk about competitiveness in companion animal parasiticides. You should appreciate competitiveness in vaccines, whether it's for swine, for cattle or for poultry. So access to antigens, commitment to excellence in terms of delivering a differentiated profile and that continued investment in lifecycle because if you're not doing it, someone else is. And that leaves the consequences.

So those strengths have all been actively created not only within the R&D environment but certainly in manufacturing. We have to be able to transfer those processes. We need robust and reliable supply, and that's what our manufacturing network delivers to us as well. So you can't come up short in terms of lifecycle investment for vaccine. Somebody will steal it from you in a heartbeat. Clint?

Clinton A. Lewis

Executive Vice President & President-US Operations

A

Just building on it. So if we think about some of the things that Cathy talked about before in the area of livestock. And so, one big category of interest is in the area of livestock performance optimization. Clearly, the reality is on global scale. Producers are, in their desire to feed the world, are going to continue to be asked to do more with less, and that is going to yield a role for technology.

In the area of performance or productivity enhancement, it's clearly to focus on new classes of agents that are clearly not necessarily using traditional classes of antibacterials as they have done before and also exciting new areas of what we might call green technology or non-medicated feed additive.

So, this clearly is and will continue to be an area of need. As we've talked about area of complementary spaces, whether it'd be in diagnostics, more in the point of care, while we see a good level of tools in the companion animal area, we clearly see the opportunity on livestock as an area of on farm tools for rapid assessment and diagnosis. We see the need in the area of genetics as more of the decisions, especially in livestock around how do you build animals that may be more resistant or growing animals – excuse me – that may be more resistant to disease. When you think about targeted therapy for targeted pathogens with targeted segment of animals and also to help producers make decisions in terms of breeding, in terms of sorting, and in terms of taking time to market.

And so, these are just a number of the different areas that fall into either existing or novel or new therapeutic or product segments in the future. And the last but certainly not least, I think it's in the area of some of the service components.

Clearly, we see in livestock a number of our customers having challenges, not often with the animal but also how they help manage and train their labor around good animal health, animal husbandry and welfare practices, and so we think there's more opportunity there, though different than we see in crop agriculture. I think there's also areas of opportunity in terms of how you leverage "big data, predictive analytics" to help make decisions for producers. So these are some of the areas both in traditional and some non-novel areas that I think are and will continue to be areas of interest [ph] that works (3:33:15) for our customers.

Juan Ramón Alaix
Chief Executive Officer & Director

A

Let me add a couple of other opportunities that will be important for the animal health. So, the first one, it's – this is not unmet need today, but making sure that we react fast to emerging diseases, and we avoid that emerging diseases became pandemic. This will be a constant need and a big opportunity for animal health companies. So those companies that will be able to identify first the disease and being first to the market will generate a significant growth.

The second area which is not a need of our current customers but also a need of government and consumers is related to food safety. Food safety is one of the key priorities of many governments around the world related to salmonella, related to E. coli, related to many things which are affecting people but also affecting the livestock production.

And the third element that I think also will be important in both companion animal and also livestock is identifying new ways of treating infections with new classes that will not be – will be specific to animals and not creating resistance to human. So these are areas that definitely will create opportunities for the animal health industry and will deliver value to the customers.

Catherine Ann Knupp
Executive VP, President-Research & Development

A

And of course we would be remiss if we didn't also mention companion animal pain and allergic skin disease where we're heavily invested and looking for new approaches.

John O'Connor
Investor Relations Officer

A

Mark, go ahead.

Mark Schoenebaum
International Strategy & Investment

Q

Hey, thanks. Thanks, John. Mark Schoenebaum for ISI. First, thanks to John for setting this up. It looks like you need a nap. So I hope you get that John. I have several questions but hopefully the answers can be short. Number one, when we look at comps in the Vetnosis data around margins, any advice on how to interpret that? Number two, Paul, it's not clear to me why in theory an entity couldn't buy Zoetis, load the Zoetis subsidiary, so to speak, up with a lot of debt, make it unprofitable or nearly so, and take the tax rate down. Three, what component of your cost of goods is fixed and should it grow higher than inflation? And four this is a naïve question, but I think it's just – because I'm stupid I guess, but this 3,500 field force – the 3,500 folks you have in the field force, how do

you know that's the right number? Why not 3,200 field force or 4,400 field force? Had there been an experiment in the industry where somebody pulled back, and we saw an adverse impact?

Juan Ramón Alaix

Chief Executive Officer & Director

A

When you are using the big numbers, I think it's always an opportunity to say why not 10% less or 10% more. And I agree on that. So, but this 3,500 field force is not an only field force which is delivering all the support to our revenues. So we're operating in 70 countries. And then each country is conducting a significant analysis of what is the return of investment on the field force that we are allocating. And the other thing that we need to understand is that that we have field forces which are addressing different types of customers.

We have a field force for companion animal, veterinarians that are basically taking care of pets. We also have a field force which is targeting cattle customers in both beef and dairy; field force for poultry, which are different than customers for cattle; and a field force for swine. So when we go to the 3,500 field force, it's not a consolidated number. It's a number that is divided by species and also by 70 countries. And in many countries we have conducted the analysis of what are the needs, what are the number of visits that we wanted to have per day, what is the frequency of the visits that we need to have for different segments of customers. So I think it's not the result of one day of inspiration but many days of understanding the needs of generating revenues.

About Vetrinosis, I think it's something that is available. Vetrinosis, where we are one of the few public companies, so we can say that the information about Zoetis on Vetrinosis is correct because they are using what has been published.

The other companies, the reality, are not public. And they are not disclosing their details of the P&Ls of their assumptions, and I'm not entering on if they're correct or not correct. But definitely what we know is that when you compare a public company with a business unit, so you are not comparing apples-to-apples because we know that we were part of Pfizer, so many of the expenses that we now have, as a public company, were not part of our P&L. So in the comparison in many cases, it's difficult and challenging, but it's a reference that, in some cases, you can use.

Paul S. Herendeen

Executive Vice President and Chief Financial Officer

A

Yeah, challenging not just from the perspective of companies that aren't public and reporting fully burdened with general administrative cost but also every one of those companies, if I'm thinking of the same report, they have a different product mix. There's lots of different factors that go into the kinds of margins that those companies produce whether you talk about gross margin or an EBITDA margin.

I think if you look at that data – if I'm thinking about the right report – our trends in operating margin are actually quite good. And we're trended – we are trending up towards the kind of the aggregate for the market. We think we can do better than that, and we're burdened with the cost of being a standalone entity. So you can look at that data, you can cherry pick and say what your gross margin is. Your gross margin is too low and your SG&A is too high, and you can cherry pick. And if you took the best one from all of those, that's not realistic. I mean we run the business that we run with our global footprint with our collection of assets. I'll stop there because you asked for short.

But the second – while I have the mic. The question was could we just lever up the assets and shield the taxes that way, we already have our debt in the United States. There is a limit. And if I get this wrong, my tax buddy, Jerome, will scold me later. I believe it's the 163(j) limitation on the deductibility of interest in an entity. And we have some

capacity there. When I referenced into my remarks, if we were so fortunate as to be able to invert, magically find that right company, and we were able to invert under the current U.S. tax laws and limitations on the deductibility of that interest, we could have achieved that's the 600 roughly basis points reduction on our rates.

So think of it as [ph] 29%, 29% becomes 23%-ish (3:40:42). If we were so unfortunate, that same math should apply to any acquirer because they're going to have to refinance our debt and the limitation and the profitability, the [ph] IBT (3:40:56) that flows out of the U.S. entity is not going to change because we change to a foreign owner. So, as I said, in this scenario where I feel like I know something because of my past work history. But what I really know is that there's lots of guys out there, they're lot smarter than me. And I make it a point to go talk to them and look at what ways, how should I be thinking about that, and that's the support for the statement I made.

Kristin C. Peck
Executive Vice President & Group President

A

And so, your quick answer on your fixed assets question with regards to manufacturing, if you look at the cost of goods of about \$1.67 billion, \$1.1 billion of that is purchased goods and services. So it's everything from buying package materials, buying starter things. I mean so it's anything we buy plus anything we externally source which leaves the remaining as what we actually – the cost we manufacture internally, so that's labor and fixed assets. I don't have the exact number. I can work with [ph] John (3:41:49), Mark to get it back to you, but it's a small percentage of the total cost of goods.

Juan Ramón Alaix
Chief Executive Officer & Director

A

And Mark, let me clarify something that I don't want to be misunderstood on my comment of the 3,500 reps in the world. I think this will be something that we'll continue assessing, and we know that there will be new trends, new market opportunities, lesser opportunities at some markets. and it's something that we'll continue assessing what should be the right level of resources and maybe finding ways of being more efficient and productive.

John O'Connor
Investor Relations Officer

So that is all the time we have for questions. We'll certainly have the opportunity to interact with management for those of you here at the New York Stock Exchange with us. At this time, I'd invite Juan Ramón to close the meeting.

Juan Ramón Alaix
Chief Executive Officer & Director

Well, thank you very much for you joining us today in our first Investor Day. We covered a lot of topics. We know that maybe there are still questions that you may have. We'll continue having individual meetings with our investors and providing information that will also support your analysis. And we have in our opinion all the elements to succeed and all the elements to create value to you and to return the capital in a way that will meet your expectations. So thank you very much for joining us today.

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